# Alphabet Inc.

## Model Update

We are updating our model for debt (~$20B, see 8K filings here & here) and equity ($84.75B) raises in 2Q. We note $40B of the $84.75B equity raise is in the form of ATM that won't commence till 3Q26 and will be processed over time — we assume over a year beginning in 3Q. Our revenue and operating income estimates are unchanged. Our '26E & '27E GAAP EPS change modestly, ±0.5%, as interest income offsets interest expense and share dilution. Our '26E & '27E FCF moves higher with interest income more than offsetting interest expense. See Figure 1 for details.

**Overweight**

**GOOG, GOOG US**
Price (13 Jul 26):$350.67
**Price Target (Dec-26):$460.00**

**Overweight**

**GOOGL, GOOGL US**
Price (13 Jul 26):$352.51
**Price Target (Dec-26):$460.00**

**Internet - Large Cap / Mid & Small Cap**

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**See page 11 for analyst certification and important disclosures.**

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## Adjusting Estimates

We are adjusting our estimates, as shown below.

### Figure 1: Adjusting J.P. Morgan Estimates

| Alphabet, Inc | 2Q26 JPMe | | 3Q26 JPMe | | 4Q26 JPMe | | 2026 JPMe | | 2027 JPMe | | 2028 JPMe | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ($ in millions, except where noted) | Old | New | Old | New | Old | New | Old | New | Old | New | Old | New |
| **Google Services** | | | | | | | | | | | | |
| **Google Search & other Revenue** | 63,210 | 63,210 | 64,820 | 64,820 | 72,010 | 72,010 | 260,439 | 260,439 | 294,167 | 294,167 | 327,996 | 327,996 |
| ***FXHN Y/Y Growth*** | ***16.0%*** | ***16.0%*** | ***15.0%*** | ***15.0%*** | ***14.0%*** | ***14.0%*** | ***15.2%*** | ***15.2%*** | ***13.0%*** | ***13.0%*** | ***11.5%*** | ***11.5%*** |
| *Y/Y Growth* | *16.6%* | *16.6%* | *14.6%* | *14.6%* | *14.2%* | *14.2%* | *16.0%* | *16.0%* | *13.0%* | *13.0%* | *11.5%* | *11.5%* |
| *Q/Q Growth* | *4.7%* | *4.7%* | *2.5%* | *2.5%* | *11.1%* | *11.1%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **YouTube ads Revenue** | 10,638 | 10,638 | 11,042 | 11,042 | 12,426 | 12,426 | 43,990 | 43,990 | 47,928 | 47,928 | 52,241 | 52,241 |
| ***FXHN Y/Y Growth*** | ***8.0%*** | ***8.0%*** | ***8.0%*** | ***8.0%*** | ***9.0%*** | ***9.0%*** | ***8.2%*** | ***8.2%*** | ***9.0%*** | ***9.0%*** | ***9.0%*** | ***9.0%*** |
| *Y/Y Growth* | *8.6%* | *8.6%* | *7.6%* | *7.6%* | *9.2%* | *9.2%* | *9.0%* | *9.0%* | *9.0%* | *9.0%* | *9.0%* | *9.0%* |
| *Q/Q Growth* | *7.6%* | *7.6%* | *3.8%* | *3.8%* | *12.5%* | *12.5%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Google Network Revenue** | 6,877 | 6,877 | 6,961 | 6,961 | 7,448 | 7,448 | 28,257 | 28,257 | 27,115 | 27,115 | 26,573 | 26,573 |
| *Y/Y Growth* | *-6.5%* | *-6.5%* | *-5.3%* | *-5.3%* | *-4.9%* | *-4.9%* | *-5.2%* | *-5.2%* | *-4.0%* | *-4.0%* | *-2.0%* | *-2.0%* |
| *Q/Q Growth* | *-1.3%* | *-1.3%* | *1.2%* | *1.2%* | *7.0%* | *7.0%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Google SPD Revenue** | 13,068 | 13,068 | 14,876 | 14,876 | 15,774 | 15,774 | 56,101 | 56,101 | 63,367 | 63,367 | 70,337 | 70,337 |
| *Y/Y Growth* | *16.6%* | *16.6%* | *15.6%* | *15.6%* | *16.2%* | *16.2%* | *16.8%* | *16.8%* | *13.0%* | *13.0%* | *11.0%* | *11.0%* |
| *Q/Q Growth* | *5.5%* | *5.5%* | *13.8%* | *13.8%* | *6.0%* | *6.0%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Google Services Revenue** | 93,793 | 93,793 | 97,699 | 97,699 | 107,657 | 107,657 | 388,787 | 388,787 | 432,577 | 432,577 | 477,147 | 477,147 |
| ***FXHN Y/Y Growth*** | ***13.0%*** | ***13.0%*** | ***12.6%*** | ***12.6%*** | ***12.1%*** | ***12.1%*** | ***12.6%*** | ***12.6%*** | ***11.3%*** | ***11.3%*** | ***10.3%*** | ***10.3%*** |
| *Y/Y Growth* | *13.6%* | *13.6%* | *12.2%* | *12.2%* | *12.3%* | *12.3%* | *13.4%* | *13.4%* | *11.3%* | *11.3%* | *10.3%* | *10.3%* |
| *Q/Q Growth* | *4.6%* | *4.6%* | *4.2%* | *4.2%* | *10.2%* | *10.2%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Total TAC as % of Ads Gross Revs** | 19.5% | 19.5% | 19.4% | 19.4% | 19.3% | 19.3% | 19.5% | 19.5% | 19.2% | 19.2% | 19.1% | 19.1% |
| bps chg vs. old | | 0 | | 0 | | 0 | | 0 | | 0 | | 0 |
| **Google Services GAAP OI** | 40,519 | 40,519 | 42,011 | 42,011 | 46,293 | 46,293 | 169,411 | 169,411 | 190,766 | 190,766 | 212,331 | 212,331 |
| **Margin as % of Gross Revenue** | 43.2% | 43.2% | 43.0% | 43.0% | 43.0% | 43.0% | 43.6% | 43.6% | 44.1% | 44.1% | 44.5% | 44.5% |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Google Services GAAP EPS** | $2.78 | $2.77 | $2.85 | $2.87 | $3.11 | $3.13 | $10.91 | $10.95 | $12.44 | $12.51 | $13.24 | $13.35 |
| *Y/Y Growth* | *17.7%* | *17.6%* | *30.1%* | *31.0%* | *4.6%* | *5.2%* | *12.4%* | *12.8%* | *14.1%* | *14.3%* | *6.4%* | *6.7%* |
| % chg vs. old | | -0.1% | | 0.7% | | 0.6% | | 0.4% | | 0.5% | | 0.8% |
| **Google Cloud** | | | | | | | | | | | | |
| **Google Cloud Revenue** | 23,290 | 23,290 | 26,732 | 26,732 | 32,196 | 32,196 | 102,246 | 102,246 | 168,632 | 168,632 | 252,948 | 252,948 |
| ***FXHN Y/Y Growth*** | ***70.0%*** | ***70.0%*** | ***77.0%*** | ***77.0%*** | ***82.0%*** | ***82.0%*** | ***73.1%*** | ***73.1%*** | ***65.0%*** | ***65.0%*** | ***50.0%*** | ***50.0%*** |
| *Y/Y Growth* | *70.9%* | *70.9%* | *76.4%* | *76.4%* | *82.3%* | *82.3%* | *74.2%* | *74.2%* | *64.9%* | *64.9%* | *50.0%* | *50.0%* |
| *Q/Q Growth* | *16.3%* | *16.3%* | *14.8%* | *14.8%* | *20.4%* | *20.4%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Google Cloud GAAP OI** | 6,987 | 6,987 | 8,153 | 8,153 | 10,947 | 10,947 | 32,685 | 32,685 | 59,864 | 59,864 | 93,591 | 93,591 |
| **% Margin - Gross** | 30.0% | 30.0% | 30.5% | 30.5% | 34.0% | 34.0% | 32.0% | 32.0% | 35.5% | 35.5% | 37.0% | 37.0% |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Google Cloud GAAP EPS** | $0.57 | $0.57 | $0.66 | $0.66 | $0.88 | $0.87 | $2.65 | $2.64 | $4.81 | $4.72 | $7.45 | $7.32 |
| *Y/Y Growth* | *145.4%* | *144.9%* | *124.4%* | *122.5%* | *103.4%* | *101.3%* | *133.4%* | *132.2%* | *81.3%* | *78.9%* | *54.8%* | *54.9%* |
| % chg vs. old | | -0.2% | | -0.9% | | -1.1% | | -0.5% | | -1.9% | | -1.8% |
| **Other Bets** | | | | | | | | | | | | |
| **Other Bets Revenue** | 463 | 463 | 511 | 511 | 554 | 554 | 1,939 | 1,939 | 3,219 | 3,219 | 5,030 | 5,030 |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **Other Bets GAAP OI** | ($1,592) | ($1,592) | ($1,690) | ($1,690) | ($1,804) | ($1,804) | ($7,186) | ($7,186) | ($6,809) | ($6,809) | ($6,158) | ($6,158) |
| $ chg vs. old | | 0 | | 0 | | 0 | | 0 | | 0 | | 0 |
| **Other Bets GAAP EPS** | ($0.13) | ($0.13) | ($0.14) | ($0.14) | ($0.15) | ($0.14) | $2.41 | $2.40 | ($0.55) | ($0.54) | ($0.49) | ($0.48) |
| % chg vs. old | | 0.2% | | 0.9% | | 1.1% | | -0.5% | | 1.9% | | 1.8% |
| **Reconciling Items** | | | | | | | | | | | | |
| **Hedging gains (losses)** | (129) | (129) | 89 | 89 | (41) | (41) | (262) | (262) | 44 | 44 | 0 | 0 |
| $ chg vs. old | | 0 | | 0 | | 0 | | 0 | | 0 | | 0 |
| **Corporate costs, unallocated** | (5,537) | (5,537) | (5,658) | (5,658) | (7,483) | (7,483) | (24,069) | (24,069) | (29,875) | (29,875) | (36,756) | (36,756) |
| $ chg vs. old | | 0 | | 0 | | 0 | | 0 | | 0 | | 0 |
| **Alphabet, Inc** | **2Q26 JPMe** | | **3Q26 JPMe** | | **4Q26 JPMe** | | **2026 JPMe** | | **2027 JPMe** | | **2028 JPMe** | |
| ($ in millions, except where noted) | Old | New | Old | New | Old | New | Old | New | Old | New | Old | New |
| **Alphabet Inc.** | | | | | | | | | | | | |
| **Alphabet Gross Revenue** | 117,416 | 117,416 | 125,032 | 125,032 | 140,366 | 140,366 | 492,710 | 492,710 | 604,471 | 604,471 | 735,125 | 735,125 |
| ***FXHN Y/Y Growth*** | ***21.1%*** | ***21.1%*** | ***22.3%*** | ***22.3%*** | ***23.1%*** | ***23.1%*** | ***21.5%*** | ***21.5%*** | ***22.7%*** | ***22.7%*** | ***21.6%*** | ***21.6%*** |
| *Y/Y Growth* | *21.8%* | *21.8%* | *22.2%* | *22.2%* | *23.3%* | *23.3%* | *22.3%* | *22.3%* | *22.7%* | *22.7%* | *21.6%* | *21.6%* |
| *Q/Q Growth* | *6.8%* | *6.8%* | *6.5%* | *6.5%* | *12.3%* | *12.3%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| Alphabet Net Revenue | 101,706 | 101,706 | 108,946 | 108,946 | 122,640 | 122,640 | 427,960 | 427,960 | 533,532 | 533,532 | 657,517 | 657,517 |
| *Y/Y Growth* | *24.5%* | *24.5%* | *24.6%* | *24.6%* | *26.1%* | *26.1%* | *24.8%* | *24.8%* | *24.7%* | *24.7%* | *23.2%* | *23.2%* |
| *Q/Q Growth* | *7.4%* | *7.4%* | *7.1%* | *7.1%* | *12.6%* | *12.6%* | | | | | | |
| *% chg vs. old* | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **GAAP Operating Income** | 40,377 | 40,377 | 42,816 | 42,816 | 47,952 | 47,952 | 170,841 | 170,841 | 213,946 | 213,946 | 263,007 | 263,007 |
| **% Margin - Gross** | 34.4% | 34.4% | 34.2% | 34.2% | 34.2% | 34.2% | 34.7% | 34.7% | 35.4% | 35.4% | 35.8% | 35.8% |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **GAAP EPS** | $2.76 | $2.76 | $2.91 | $2.93 | $3.24 | $3.26 | $14.02 | $14.05 | $14.31 | $14.34 | $17.28 | $17.31 |
| *Y/Y Growth* | *19.6%* | *19.5%* | *1.7%* | *2.3%* | *15.1%* | *15.7%* | *29.8%* | *30.0%* | *2.0%* | *2.1%* | *20.7%* | *20.7%* |
| % chg vs. old | | -0.1% | | 0.6% | | 0.5% | | 0.2% | | 0.2% | | 0.2% |
| **Capex** | 43,734 | 43,734 | 51,749 | 51,749 | 58,867 | 58,867 | 190,024 | 190,024 | 293,443 | 293,443 | 348,484 | 348,484 |
| *Y/Y Growth* | *94.8%* | *94.8%* | *116.0%* | *116.0%* | *111.4%* | *111.4%* | *107.8%* | *107.8%* | *54.4%* | *54.4%* | *18.8%* | *18.8%* |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% | | 0.0% |
| **FCF** | 262 | 308 | 6,119 | 6,659 | 157 | 804 | 16,654 | 17,886 | (20,496) | (16,691) | 3,372 | 7,815 |
| *Y/Y Growth* | *-95.1%* | *-94.2%* | *-75.0%* | *-72.8%* | *-99.4%* | *-96.7%* | *-77.3%* | *-75.6%* | *-223.1%* | *-193.3%* | *-116.5%* | *-146.8%* |
| % chg vs. old | | 17.4% | | 8.8% | | 413.1% | | 7.4% | | 18.6% | | 131.8% |

Source: J.P. Morgan estimates, Company data.



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# Model Pages

## Figure 2: Alphabet Income Statement

| $ in millions, except per share amounts | 2024A | 3/25A | 6/25A | 9/25A | 12/25A | 2025A | 3/26A | 6/26E | 9/26E | 12/26E | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Gross Revenues** | **350,018.0** | **90,234** | **96,428** | **102,346** | **113,828** | **402,836.0** | **109,896** | **117,416.3** | **125,031.5** | **140,365.7** | **492,709.5** | **604,471.1** | **735,124.8** |
| Traffic Acquisition Costs (TAC) | 54,900.0 | 13,748 | 14,705 | 14,876 | 16,597 | 59,926.0 | 15,228 | 15,710.4 | 16,085.6 | 17,725.8 | 64,749.9 | 70,938.9 | 77,607.5 |
| **Net Revenues excluding TAC** | **295,118.0** | **76,486** | **81,723** | **87,470** | **97,231** | **342,910.0** | **94,668** | **101,705.9** | **108,945.9** | **122,639.9** | **427,959.7** | **533,532.3** | **657,517.3** |
| Other cost of revenues | 91,406.0 | 22,613 | 24,334 | 26,493 | 29,169 | 102,609.0 | 26,043 | 30,206.6 | 33,337.5 | 37,895.7 | 127,482.8 | 168,062.7 | 220,268.3 |
| **Gross profit** | **203,712.0** | **53,873** | **57,389** | **60,977** | **68,062** | **240,301.0** | **68,625** | **71,499.2** | **75,608.5** | **84,744.2** | **300,476.9** | **365,469.6** | **437,249.0** |
| Operating expenses | | | R&D ex. Waymo comp charge | | 16,472 | | | | | | | | |
| Research & development | 49,326.0 | 13,556 | 13,808 | 15,151 | 18,572 | 61,087.0 | 17,032 | 17,391.7 | 18,847.6 | 20,112.9 | 73,384.3 | 88,032.8 | 102,572.7 |
| Sales & marketing | 27,808.0 | 6,172 | 7,101 | 7,205 | 8,215 | 28,693.0 | 7,606 | 8,645.0 | 8,715.7 | 9,811.2 | 34,777.9 | 40,548.5 | 46,026.2 |
| General & administrative | 14,188.0 | 3,539 | 5,209 | 3,936 | 5,341 | 18,025.0 | 4,291 | 5,085.3 | 5,229.4 | 6,867.8 | 21,473.5 | 22,941.9 | 25,643.2 |
| Other 1x item, incl. Impairment charge | 0.0 | 0 | 0 | 3,457 | 0 | 3,457.0 | 0 | 0.0 | 0.0 | 0.0 | 0.0 | | |
| Total operating expenses | 91,322.0 | 23,267 | 26,118 | 29,749 | 32,128 | 111,262.0 | 28,929 | 31,122.0 | 32,792.7 | 36,792.0 | 129,635.7 | 151,523.2 | 174,242.1 |
| **GAAP Operating income** | **112,390.0** | **30,606** | **31,271** | **31,228** | **35,934** | **129,039.0** | **39,696** | **40,377.2** | **42,815.7** | **47,952.2** | **170,841.2** | **213,946.4** | **263,006.9** |
| **Non-GAAP Operating income** | **112,390.0** | **30,606** | **31,271** | **31,228** | **35,934** | **129,039.0** | **39,696** | **40,377.2** | **42,815.7** | **47,952.2** | **170,841.2** | **213,946.4** | **263,006.9** |
| **JPMe Adjusted Operating income** | **135,175.0** | **36,122** | **37,269** | **41,053** | **43,005** | **157,449.0** | **46,447** | **47,801.8** | **50,768.8** | **55,923.8** | **200,941.3** | **249,159.6** | **303,773.0** |
| Other income, expense and other, net | 7,425.0 | 11,183 | 2,662 | 12,759 | 3,183 | 29,787.0 | 37,716 | 608.1 | 1,148.6 | 1,223.7 | 40,696.4 | 5,003.9 | 3,664.9 |
| Income before taxes | 119,815.0 | 41,789 | 33,933 | 43,987 | 39,117 | 158,826.0 | 77,412 | 40,985.3 | 43,964.4 | 49,175.9 | 211,537.6 | 218,950.3 | 266,671.8 |
| Provision for income taxes | 19,697.0 | 7,249 | 5,737 | 9,008 | 4,662 | 26,656.0 | 14,834 | 6,967.5 | 7,473.9 | 8,359.9 | 37,635.4 | 37,221.6 | 45,334.2 |
| *Effective tax rate* | *16.4%* | *17.3%* | *16.9%* | *20.5%* | *11.9%* | *16.8%* | *19.2%* | *17.0%* | *17.0%* | *17.0%* | *17.8%* | *17.0%* | *17.0%* |
| Discontinued Operations - Motorola | | | | | | | | | | | | | |
| **GAAP Net Income (loss)** | **100,118.0** | **34,540** | **28,196** | **34,979** | **34,455** | **132,170.0** | **62,578** | **34,017.8** | **36,490.4** | **40,816.0** | **173,902.3** | **181,728.8** | **221,337.6** |
| **GAAP EPS - Diluted** | **$8.04** | **$2.81** | **$2.31** | **$2.87** | **$2.82** | **$10.81** | **$5.11** | **$2.76** | **$2.93** | **$3.26** | **$14.05** | **$14.34** | **$17.31** |
| Diluted shares outstanding | 12,447.3 | 12,291 | 12,198 | 12,203 | 12,228 | 12,230.0 | 12,238 | 12,313.4 | 12,442.2 | 12,518.3 | 12,378.0 | 12,671.5 | 12,787.9 |
| | | | | | | | | | | | | | |
| Alphabet Non-GAAP reconciliation | | | | | | | | | | | | | |
| Adj. for One-time item | 0.0 | 0.0 | 0.0 | 3,457.0 | 0.0 | 3,457.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Non-GAAP Net Income (loss)** | **100,118.0** | **34,540.0** | **28,196.0** | **38,436.0** | **34,455.0** | **135,627.0** | **62,578.0** | **34,017.8** | **36,490.4** | **40,816.0** | **173,902.3** | **181,728.8** | **221,337.6** |
| **Non-GAAP EPS - Diluted** | **$8.04** | **$2.81** | **$2.31** | **$3.15** | **$2.82** | **$11.09** | **$5.11** | **$2.76** | **$2.93** | **$3.26** | **$14.05** | **$14.34** | **$17.31** |
| | | | | | | | | | | | | | |
| Non-recurring items: | | | | | | | | | | | | | |
| Stock compensation expense | 22,785.0 | 5,516.0 | 5,998.0 | 6,368.0 | 7,071.0 | 24,953.0 | 6,751.0 | 7,424.5 | 7,953.1 | 7,971.6 | 30,100.2 | 35,213.1 | 40,766.1 |
| One-time items | (2,943.0) | (10,182.0) | (1,612.0) | (8,226.0) | (1,973.0) | (21,993.0) | (36,335.0) | 772.9 | 845.7 | 840.7 | (33,875.8) | 3,365.4 | 3,364.2 |
| Tax Effect | (3,208.3) | 809.4 | (741.5) | 380.5 | (607.6) | (159.2) | 5,669.0 | (1,393.6) | (1,495.8) | (1,498.1) | 1,281.6 | (6,558.4) | (7,502.1) |
| **Adjusted Net Income (loss)** | **116,751.7** | **30,683.4** | **31,840.5** | **33,501.5** | **38,945.4** | **134,970.8** | **38,663.0** | **40,821.7** | **43,793.4** | **48,130.2** | **171,408.2** | **213,749.0** | **257,965.7** |
| **Adj. EPS - Diluted** | **$9.38** | **$2.50** | **$2.61** | **$2.75** | **$3.18** | **$11.04** | **$3.16** | **$3.32** | **$3.52** | **$3.84** | **$13.85** | **$16.87** | **$20.17** |
| Diluted shares outstanding | 12,447.3 | 12,291.0 | 12,198.0 | 12,203.0 | 12,228.0 | 12,230.0 | 12,238.0 | 12,313.4 | 12,442.2 | 12,518.3 | 12,378.0 | 12,671.5 | 12,787.9 |
| Adj. EBITDA Reconciliation | | | | | | | | | | | | | |
| Operating income (adj. for 1x item as noted) | 112,390.0 | 30,606 | 31,271 | 34,685 | 35,934 | 132,496.0 | 39,696 | 40,377.2 | 42,815.7 | 47,952.2 | 170,841.2 | 213,946.4 | 263,006.9 |
| Depreciation & amortization | 15,311.0 | 4,487 | 4,998 | 5,611 | 6,040 | 21,136.0 | 6,482 | 8,136.5 | 9,478.3 | 11,037.6 | 35,134.4 | 59,222.1 | 93,367.5 |
| Stock compensation expense | 22,785.0 | 5,516 | 5,998 | 6,368 | 7,071 | 24,953.0 | 6,751 | 7,424.5 | 7,953.1 | 7,971.6 | 30,100.2 | 35,213.1 | 40,766.1 |
| **Adj. EBITDA** | **150,486.0** | **40,609** | **42,267** | **46,664** | **49,045** | **178,585.0** | **52,929** | **55,938.2** | **60,247.1** | **66,961.4** | **236,075.7** | **308,381.6** | **397,140.5** |
| **Year/Year Growth** | **2024A** | **3/25A** | **6/25A** | **9/25A** | **12/25A** | **2025A** | **3/26A** | **6/26E** | **9/26E** | **12/26E** | **2026E** | **2027E** | **2028E** |
| **Gross Revenues (FXHN)** | ***14.8%*** | ***13.8%*** | ***13.4%*** | ***14.7%*** | ***16.7%*** | ***14.7%*** | ***19.0%*** | ***21.1%*** | ***22.3%*** | ***23.1%*** | ***21.5%*** | ***22.7%*** | ***21.6%*** |
| **Gross Revenues** | ***13.9%*** | ***12.0%*** | ***13.8%*** | ***15.9%*** | ***18.0%*** | ***15.1%*** | ***21.8%*** | ***21.8%*** | ***22.2%*** | ***23.3%*** | ***22.3%*** | ***22.7%*** | ***21.6%*** |
| Traffic Acquisition Costs (TAC) | *7.9%* | *6.2%* | *9.8%* | *8.4%* | *11.8%* | *9.2%* | *10.8%* | *6.8%* | *8.1%* | *6.8%* | *8.0%* | *9.6%* | *9.4%* |
| **Net Revenues** | ***15.1%*** | ***13.2%*** | ***14.5%*** | ***17.3%*** | ***19.1%*** | ***16.2%*** | ***23.8%*** | ***24.5%*** | ***24.6%*** | ***26.1%*** | ***24.8%*** | ***24.7%*** | ***23.2%*** |
| Other cost of revenues | *10.9%* | *8.9%* | *10.0%* | *16.4%* | *13.2%* | *12.3%* | *15.2%* | *24.1%* | *25.8%* | *29.9%* | *24.2%* | *31.8%* | *31.1%* |
| **Gross profit** | ***17.0%*** | ***15.0%*** | ***16.6%*** | ***17.7%*** | ***21.9%*** | ***18.0%*** | ***27.4%*** | ***24.6%*** | ***24.0%*** | ***24.5%*** | ***25.0%*** | ***21.6%*** | ***19.6%*** |
| Research & development | *8.6%* | *13.9%* | *16.4%* | *21.7%* | *41.6%* | *23.8%* | *25.6%* | *26.0%* | *24.4%* | *8.3%* | *20.1%* | *20.0%* | *16.5%* |
| Sales & marketing | *-0.4%* | *-4.0%* | *4.5%* | *-0.3%* | *11.6%* | *3.2%* | *23.2%* | *21.7%* | *21.0%* | *19.4%* | *21.2%* | *16.6%* | *13.5%* |
| General & administrative | *-13.6%* | *17.0%* | *64.9%* | *9.4%* | *21.2%* | *27.0%* | *21.2%* | *-2.4%* | *32.9%* | *28.6%* | *19.1%* | *6.8%* | *11.8%* |
| **Total operating expenses** | ***1.7%*** | ***9.0%*** | ***19.8%*** | ***27.8%*** | ***29.1%*** | ***21.8%*** | ***24.3%*** | ***19.2%*** | ***10.2%*** | ***14.5%*** | ***16.5%*** | ***16.9%*** | ***15.0%*** |
| **GAAP Operating income** | ***33.3%*** | ***20.2%*** | ***14.0%*** | ***9.5%*** | ***16.0%*** | ***14.8%*** | ***29.7%*** | ***29.1%*** | ***37.1%*** | ***33.4%*** | ***32.4%*** | ***25.2%*** | ***22.9%*** |
| **Non-GAAP Operating income** | ***33.3%*** | ***20.2%*** | ***14.0%*** | ***9.5%*** | ***16.0%*** | ***14.8%*** | ***29.7%*** | ***29.1%*** | ***37.1%*** | ***33.4%*** | ***32.4%*** | ***25.2%*** | ***22.9%*** |
| **JPMe Adjusted Operating income** | ***26.6%*** | ***17.5%*** | ***12.0%*** | ***19.5%*** | ***16.9%*** | ***16.5%*** | ***28.6%*** | ***28.3%*** | ***23.7%*** | ***30.0%*** | ***27.6%*** | ***24.0%*** | ***21.9%*** |
| Depreciation & amortization | *28.2%* | *31.5%* | *34.8%* | *40.8%* | *43.6%* | *38.0%* | *44.5%* | *62.8%* | *68.9%* | *82.7%* | *66.2%* | *68.6%* | *57.7%* |
| Stock compensation expense | *1.4%* | *4.8%* | *2.3%* | *8.9%* | *21.7%* | *9.5%* | *22.4%* | *23.8%* | *24.9%* | *12.7%* | *20.6%* | *17.0%* | *15.8%* |
| EBITDA | *24.9%* | *18.9%* | *14.2%* | *21.7%* | *19.7%* | *18.7%* | *30.3%* | *32.3%* | *29.1%* | *36.5%* | *32.2%* | *30.6%* | *28.8%* |
| GAAP Net Income (loss) | *35.7%* | *46.0%* | *19.4%* | *33.0%* | *29.8%* | *32.0%* | *81.2%* | *20.6%* | *4.3%* | *18.5%* | *31.6%* | *4.5%* | *21.8%* |
| **GAAP EPS** | ***38.7%*** | ***48.8%*** | ***22.3%*** | ***35.3%*** | ***31.1%*** | ***34.4%*** | ***82.0%*** | ***19.5%*** | ***2.3%*** | ***15.7%*** | ***30.0%*** | ***2.1%*** | ***20.7%*** |
| Non-GAAP Net Income (loss) | *35.7%* | *46.0%* | *19.4%* | *46.1%* | *29.8%* | *35.5%* | *81.2%* | *20.6%* | *-5.1%* | *18.5%* | *28.2%* | *4.5%* | *21.8%* |
| Non-GAAP EPS | *38.7%* | *48.8%* | *22.3%* | *48.7%* | *31.1%* | *37.9%* | *82.0%* | *19.5%* | *-6.9%* | *15.7%* | *26.7%* | *2.1%* | *20.7%* |
| JPMe Adjusted Net Income (loss) | *22.5%* | *15.5%* | *8.0%* | *13.4%* | *25.0%* | *15.6%* | *26.0%* | *28.2%* | *30.7%* | *23.6%* | *27.0%* | *24.7%* | *20.7%* |
| JPMe Adjusted EPS | *25.2%* | *17.7%* | *10.7%* | *15.4%* | *26.2%* | *17.7%* | *26.6%* | *27.0%* | *28.2%* | *20.7%* | *25.5%* | *21.8%* | *19.6%* |
| **GAAP expenses as % of Net Revenues** | | | | | | | | | | | | | |
| Other cost of revenues (non-TAC) | 31.0% | 29.6% | 29.8% | 30.3% | 30.0% | 29.9% | 27.5% | 29.7% | 30.6% | 30.9% | 29.8% | 31.5% | 33.5% |
| Research & development | 16.7% | 17.7% | 16.9% | 17.3% | 19.1% | 17.8% | 18.0% | 17.1% | 17.3% | 16.4% | 17.1% | 16.5% | 15.6% |
| Sales & marketing | 9.4% | 8.1% | 8.7% | 8.2% | 8.4% | 8.4% | 8.0% | 8.5% | 8.0% | 8.0% | 8.1% | 7.6% | 7.0% |
| General & administrative | 4.8% | 4.6% | 6.4% | 4.5% | 5.5% | 5.3% | 4.5% | 5.0% | 4.8% | 5.6% | 5.0% | 4.3% | 3.9% |
| Stock compensation expense | 7.7% | 7.2% | 7.3% | 7.3% | 7.3% | 7.3% | 7.1% | 7.3% | 7.3% | 6.5% | 7.0% | 6.6% | 6.2% |
| **GAAP expenses as % of Gross Revenues** | | | | | | | | | | | | | |
| Traffic Acquisition Costs (TAC) | 15.7% | 15.2% | 15.2% | 14.5% | 14.6% | 14.9% | 13.9% | 13.4% | 12.9% | 12.6% | 13.1% | 11.7% | 10.6% |
| Other cost of revenues (non-TAC) | 26.1% | 25.1% | 25.2% | 25.9% | 25.6% | 25.5% | 23.7% | 25.7% | 26.7% | 27.0% | 25.9% | 27.8% | 30.0% |
| Research & development | 14.1% | 15.0% | 14.3% | 14.8% | 16.3% | 15.2% | 15.5% | 14.8% | 15.1% | 14.3% | 14.9% | 14.6% | 14.0% |
| Sales & marketing | 7.9% | 6.8% | 7.4% | 7.0% | 7.2% | 7.1% | 6.9% | 7.4% | 7.0% | 7.0% | 7.1% | 6.7% | 6.3% |
| General & administrative | 4.1% | 3.9% | 5.4% | 3.8% | 4.7% | 4.5% | 3.9% | 4.3% | 4.2% | 4.9% | 4.4% | 3.8% | 3.5% |
| Stock compensation expense | 6.5% | 6.1% | 6.2% | 6.2% | 6.2% | 6.2% | 6.1% | 6.3% | 6.4% | 5.7% | 6.1% | 5.8% | 5.5% |
| **Margin as % of Gross Revenues** | | | | | | | | | | | | | |
| Gross margin | 58.2% | 59.7% | 59.5% | 59.6% | 59.8% | 59.7% | 62.4% | 60.9% | 60.5% | 60.4% | 61.0% | 60.5% | 59.5% |
| **GAAP Operating margin** | **32.1%** | **33.9%** | **32.4%** | **30.5%** | **31.6%** | **32.0%** | **36.1%** | **34.4%** | **34.2%** | **34.2%** | **34.7%** | **35.4%** | **35.8%** |
| **Non-GAAP Operating margin** | **32.1%** | **33.9%** | **32.4%** | **30.5%** | **31.6%** | **32.0%** | **36.1%** | **34.4%** | **34.2%** | **34.2%** | **34.7%** | **35.4%** | **35.8%** |
| **JPMe Adjusted Operating margin** | **38.6%** | **40.0%** | **38.6%** | **40.1%** | **37.8%** | **39.1%** | **42.3%** | **40.7%** | **40.6%** | **39.8%** | **40.8%** | **41.2%** | **41.3%** |
| Net margin | 28.6% | 38.3% | 29.2% | 34.2% | 30.3% | 32.8% | 56.9% | 29.0% | 29.2% | 29.1% | 35.3% | 30.1% | 30.1% |
| **Adj. EBITDA** | **43.0%** | **45.0%** | **43.8%** | **45.6%** | **43.1%** | **44.3%** | **48.2%** | **47.6%** | **48.2%** | **47.7%** | **47.9%** | **51.0%** | **54.0%** |
| **Operating Leverage/Flow-through** | **70.5%** | **66.6%** | **45.1%** | **59.0%** | **46.4%** | **53.2%** | **62.7%** | **65.1%** | **59.9%** | **67.5%** | **64.0%** | **64.7%** | **67.9%** |

Source: J.P. Morgan estimates, Company data.

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## Figure 3: Alphabet Revenue Drivers

| $ millions except where noted | 2024A | 3/25A | 6/25A | 9/25A | 12/25A | 2025A | 3/26A | 6/26E | 9/26E | 12/26E | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Gross Revenue Summary** | | | | | | | | | | | | | |
| **Google Search & other** | **198,084.0** | **50,702** | **54,190** | **56,567** | **63,073** | **224,532.0** | **60,399** | **63,209.9** | **64,819.7** | **72,010.0** | **260,438.5** | **294,166.9** | **327,996.1** |
| ***Y/Y growth*** | ***13.2%*** | ***9.8%*** | ***11.7%*** | ***14.5%*** | ***16.7%*** | ***13.4%*** | ***19.1%*** | ***16.6%*** | ***14.6%*** | ***14.2%*** | ***16.0%*** | ***13.0%*** | ***11.5%*** |
| ***FXHN Y/Y growth (estimate)*** | ***14.1%*** | ***11.8%*** | ***11.1%*** | ***13.0%*** | ***15.4%*** | ***12.9%*** | ***15.9%*** | ***16.0%*** | ***15.0%*** | ***14.0%*** | ***15.2%*** | ***13.0%*** | ***11.5%*** |
| **YouTube ads** | **36,147.0** | **8,927** | **9,796** | **10,261** | **11,383** | **40,367.0** | **9,883** | **10,638.5** | **11,042.3** | **12,425.9** | **43,989.7** | **47,927.8** | **52,241.3** |
| ***Y/Y growth*** | ***14.7%*** | ***10.3%*** | ***13.1%*** | ***15.0%*** | ***8.7%*** | ***11.7%*** | ***10.7%*** | ***8.6%*** | ***7.6%*** | ***9.2%*** | ***9.0%*** | ***9.0%*** | ***9.0%*** |
| ***FXHN Y/Y growth (estimate)*** | ***15.7%*** | ***12.3%*** | ***12.4%*** | ***13.5%*** | ***7.4%*** | ***11.2%*** | ***7.7%*** | ***8.0%*** | ***8.0%*** | ***9.0%*** | ***8.2%*** | ***9.0%*** | ***9.0%*** |
| **Google Properties** | **234,231.0** | **59,629** | **63,986** | **66,828** | **74,456** | **264,899.0** | **70,282** | **73,848.4** | **75,861.9** | **84,435.9** | **304,428.2** | **342,094.7** | **380,237.4** |
| *Y/Y growth* | *13.4%* | *9.9%* | *11.9%* | *14.6%* | *15.4%* | *13.1%* | *17.9%* | *15.4%* | *13.5%* | *13.4%* | *14.9%* | *12.4%* | *11.1%* |
| ***FXHN Y/Y growth (estimate)*** | ***14.4%*** | ***11.9%*** | ***11.3%*** | ***13.1%*** | ***14.1%*** | ***12.6%*** | ***14.6%*** | ***14.8%*** | ***13.9%*** | ***13.2%*** | ***14.1%*** | ***12.4%*** | ***11.1%*** |
| *Q/Q growth* | | *-7.6%* | *7.3%* | *4.4%* | *11.4%* | | *-5.6%* | *5.1%* | *2.7%* | *11.3%* | | | |
| **Google Network Members' properties** | **30,359.0** | **7,256** | **7,354** | **7,354** | **7,828** | **29,792.0** | **6,971** | **6,877.2** | **6,961.3** | **7,447.6** | **28,257.2** | **27,115.1** | **26,572.8** |
| *Y/Y growth* | *-3.0%* | *-2.1%* | *-1.2%* | *-2.6%* | *-1.6%* | *-1.9%* | *-3.9%* | *-6.5%* | *-5.3%* | *-4.9%* | *-5.2%* | *-4.0%* | *-2.0%* |
| ***FXHN Y/Y growth (estimate)*** | ***-2.2%*** | ***-0.4%*** | ***-1.8%*** | ***-3.8%*** | ***-2.7%*** | ***-2.2%*** | ***-6.6%*** | ***-7.0%*** | ***-5.0%*** | ***-5.0%*** | ***-5.9%*** | ***-4.0%*** | ***-2.0%*** |
| *Q/Q growth* | | *-8.8%* | *1.4%* | *0.0%* | *6.4%* | | *-10.9%* | *-1.3%* | *1.2%* | *7.0%* | | | |
| **Google advertising** | **264,590.0** | **66,885** | **71,340** | **74,182** | **82,284** | **294,691.0** | **77,253** | **80,725.6** | **82,823.3** | **91,883.5** | **332,685.4** | **369,209.7** | **406,810.1** |
| *Y/Y growth* | *11.2%* | *8.5%* | *10.4%* | *12.6%* | *13.6%* | *11.4%* | *15.5%* | *13.2%* | *11.6%* | *11.7%* | *12.9%* | *11.0%* | *10.2%* |
| *FXHN Y/Y growth* | ***12.2%*** | ***10.4%*** | ***9.8%*** | ***11.2%*** | ***12.2%*** | ***10.9%*** | ***12.3%*** | ***12.5%*** | ***12.0%*** | ***11.5%*** | ***12.1%*** | ***11.0%*** | ***10.2%*** |
| **Google subscriptions, platforms, and devices** | **40,340.0** | **10,379** | **11,203** | **12,870** | **13,578** | **48,030.0** | **12,384** | **13,067.7** | **14,875.9** | **15,773.9** | **56,101.5** | **63,366.9** | **70,337.3** |
| *Y/Y growth* | *16.3%* | *18.8%* | *20.3%* | *20.8%* | *16.7%* | *19.1%* | *19.3%* | *16.6%* | *15.6%* | *16.2%* | *16.8%* | *13.0%* | *11.0%* |
| ***FXHN Y/Y growth (estimate)*** | ***17.3%*** | ***20.9%*** | ***19.6%*** | ***19.2%*** | ***15.4%*** | ***18.6%*** | ***16.0%*** | ***16.0%*** | ***16.0%*** | ***16.0%*** | ***16.0%*** | ***13.0%*** | ***11.0%*** |
| *Q/Q growth* | | *-10.8%* | *7.9%* | *14.9%* | *5.5%* | | *-8.8%* | *5.5%* | *13.8%* | *6.0%* | | | |
| **Google Services total** | **304,930.0** | **77,264** | **82,543** | **87,052** | **95,862** | **342,721.0** | **89,637** | **93,793.3** | **97,699.2** | **107,657.4** | **388,786.9** | **432,576.7** | **477,147.4** |
| *Y/Y growth* | *11.9%* | *9.8%* | *11.7%* | *13.8%* | *14.0%* | *12.4%* | *16.0%* | *13.6%* | *12.2%* | *12.3%* | *13.4%* | *11.3%* | *10.3%* |
| *FXHN Y/Y growth* | ***12.8%*** | ***11.7%*** | ***11.0%*** | ***12.3%*** | ***12.7%*** | ***12.0%*** | ***12.8%*** | ***13.0%*** | ***12.6%*** | ***12.1%*** | ***12.6%*** | ***11.3%*** | ***10.3%*** |
| **Google Cloud** | **43,229.0** | **12,260** | **13,624** | **15,157** | **17,664** | **58,705.0** | **20,028** | **23,289.6** | **26,732.0** | **32,196.2** | **102,245.8** | **168,631.9** | **252,947.8** |
| *Y/Y growth* | *30.6%* | *28.1%* | *31.7%* | *33.5%* | *47.8%* | *35.8%* | *63.4%* | *70.9%* | *76.4%* | *82.3%* | *74.2%* | *64.9%* | *50.0%* |
| ***FXHN Y/Y growth (estimate)*** | ***31.8%*** | ***30.4%*** | ***30.9%*** | ***31.8%*** | ***46.0%*** | ***35.2%*** | ***58.9%*** | ***70.0%*** | ***77.0%*** | ***82.0%*** | ***73.1%*** | ***65.0%*** | ***50.0%*** |
| *Q/Q growth* | | *2.6%* | *11.1%* | *11.3%* | *16.5%* | | *13.4%* | *16.3%* | *14.8%* | *20.4%* | | | |
| **Other Bets** | **1,648.0** | **450** | **373** | **344** | **370** | **1,537.0** | **411** | **462.9** | **511.1** | **553.6** | **1,938.5** | **3,218.8** | **5,029.6** |
| *Y/Y growth* | *7.9%* | *-9.1%* | *2.2%* | *-11.3%* | *-7.5%* | *-6.7%* | *-8.7%* | *24.1%* | *48.6%* | *49.6%* | *26.1%* | *66.0%* | *56.3%* |
| **Hedging gains (losses)** | **211.0** | **260** | **(112)** | **(207)** | **(68)** | **(127.0)** | **(180)** | **(129.5)** | **89.2** | **(41.5)** | **(261.7)** | **43.8** | **0.0** |
| **Alphabet total revenues (gross)** | **350,018.0** | **90,234** | **96,428** | **102,346** | **113,828** | **402,836.0** | **109,896** | **117,416.3** | **125,031.5** | **140,365.7** | **492,709.5** | **604,471.1** | **735,124.8** |
| ***Y/Y growth*** | ***13.9%*** | ***12.0%*** | ***13.8%*** | ***15.9%*** | ***18.0%*** | ***15.1%*** | ***21.8%*** | ***21.8%*** | ***22.2%*** | ***23.3%*** | ***22.3%*** | ***22.7%*** | ***21.6%*** |
| ***FXHN Y/Y growth*** | ***14.8%*** | ***13.8%*** | ***13.4%*** | ***14.7%*** | ***16.7%*** | ***14.7%*** | ***19.0%*** | ***21.1%*** | ***22.3%*** | ***23.1%*** | ***21.5%*** | ***22.7%*** | ***21.6%*** |
| *Q/Q growth* | | *-6.5%* | *6.9%* | *6.1%* | *11.2%* | | *-3.5%* | *6.8%* | *6.5%* | *12.3%* | | | |
| Seasonality | | 22.4% | 23.9% | 25.4% | 28.3% | | 22.3% | 23.8% | 25.4% | 28.5% | | | |
| **Gross Revenue Share by Segment** | | | | | | | | | | | | | |
| Google Search & other | 56.6% | 56.2% | 56.2% | 55.3% | 55.4% | 55.7% | 55.0% | 53.8% | 51.8% | 51.3% | 52.9% | 48.7% | 44.6% |
| YouTube ads | 10.3% | 9.9% | 10.2% | 10.0% | 10.0% | 10.0% | 9.0% | 9.1% | 8.8% | 8.9% | 8.9% | 7.9% | 7.1% |
| Google Network Members' properties | 8.7% | 8.0% | 7.6% | 7.2% | 6.9% | 7.4% | 6.3% | 5.9% | 5.6% | 5.3% | 5.7% | 4.5% | 3.6% |
| **Google advertising** | **75.6%** | **74.1%** | **74.0%** | **72.5%** | **72.3%** | **73.2%** | **70.3%** | **68.8%** | **66.2%** | **65.5%** | **67.5%** | **61.1%** | **55.3%** |
| Google subscriptions, platforms, and devices | 11.5% | 11.5% | 11.6% | 12.6% | 11.9% | 11.9% | 11.3% | 11.1% | 11.9% | 11.2% | 11.4% | 10.5% | 9.6% |
| **Google Services total** | **87.1%** | **85.6%** | **85.6%** | **85.1%** | **84.2%** | **85.1%** | **81.6%** | **79.9%** | **78.1%** | **76.7%** | **78.9%** | **71.6%** | **64.9%** |
| **Google Cloud** | **12.4%** | **13.6%** | **14.1%** | **14.8%** | **15.5%** | **14.6%** | **18.2%** | **19.8%** | **21.4%** | **22.9%** | **20.8%** | **27.9%** | **34.4%** |
| Other Bets | 0.5% | 0.5% | 0.4% | 0.3% | 0.3% | 0.4% | 0.4% | 0.4% | 0.4% | 0.4% | 0.4% | 0.5% | 0.7% |
| Hedging gains (losses) | 0.1% | 0.3% | -0.1% | -0.2% | -0.1% | 0.0% | -0.2% | -0.1% | 0.1% | 0.0% | -0.1% | 0.0% | 0.0% |
| **TAC Analysis** | | | | | | | | | | | | | |
| **Total Traffic Acquisition Costs (TAC)** | **54,900.0** | **13,748** | **14,705** | **14,876** | **16,597** | **59,926.0** | **15,228** | **15,710.4** | **16,085.6** | **17,725.8** | **64,749.9** | **70,938.9** | **77,607.5** |
| *Y/Y growth* | *7.9%* | *6.2%* | *9.8%* | *8.4%* | *11.8%* | *9.2%* | *10.8%* | *6.8%* | *8.1%* | *6.8%* | *8.0%* | *9.6%* | *9.4%* |
| **TAC as a % of Total Gross Adv. Revenues** | **20.7%** | **20.6%** | **20.6%** | **20.1%** | **20.2%** | **20.3%** | **19.7%** | **19.5%** | **19.4%** | **19.3%** | **19.5%** | **19.2%** | **19.1%** |
| **TAC as a % of Total Ads Gross Revs ex. YT** | **24.0%** | **23.7%** | **23.9%** | **23.3%** | **23.4%** | **23.6%** | **22.6%** | **22.4%** | **22.4%** | **22.3%** | **22.4%** | **22.1%** | **21.9%** |
| **Net Revenue Summary** | | | | | | | | | | | | | |
| Google Properties - Net Revenues | 200,159.4 | 50,756.2 | 54,394.4 | 56,815.6 | 63,197.5 | 225,163.6 | 59,470.6 | 62,470.6 | 64,162.0 | 71,402.1 | 257,505.2 | 288,262.1 | 319,394.1 |
| *Y/Y growth* | *13.0%* | *9.6%* | *11.1%* | *14.2%* | *14.7%* | *12.5%* | *17.2%* | *14.8%* | *12.9%* | *13.0%* | *14.4%* | *11.9%* | *10.8%* |
| *Q/Q growth* | | *-7.9%* | *7.2%* | *4.5%* | *11.2%* | | *-5.9%* | *5.0%* | *2.7%* | *11.3%* | | | |
| Google Network Members' Properties - Net Revenue | 9,530.6 | 2,380.9 | 2,240.6 | 2,490.4 | 2,489.5 | 9,601.4 | 2,554.4 | 2,544.6 | 2,575.7 | 2,755.6 | 10,430.3 | 10,008.7 | 9,808.6 |
| *Y/Y growth* | *-2.9%* | *-1.0%* | *-0.6%* | *5.0%* | *-0.3%* | *0.7%* | *7.3%* | *13.6%* | *3.4%* | *10.7%* | *8.6%* | *-4.0%* | *-2.0%* |
| **Google Advertising - Net Revenues** | **209,690.0** | **53,137.0** | **56,635.0** | **59,306.0** | **65,687.0** | **234,765.0** | **62,025.0** | **65,015.2** | **66,737.7** | **74,157.7** | **267,935.6** | **298,270.9** | **329,202.7** |
| *Y/Y growth* | *12.2%* | *9.1%* | *10.6%* | *13.8%* | *14.0%* | *12.0%* | *16.7%* | *14.8%* | *12.5%* | *12.9%* | *14.1%* | *11.3%* | *10.4%* |
| **Non-Advertising - Net Revenues** | **85,428.0** | **23,349.0** | **25,088.0** | **28,164.0** | **31,544.0** | **108,145.0** | **32,643.0** | **36,690.7** | **42,208.2** | **48,482.2** | **160,024.1** | **235,261.4** | **328,314.7** |
| *Y/Y growth* | *22.8%* | *23.7%* | *24.7%* | *25.7%* | *31.4%* | *26.6%* | *39.8%* | *46.2%* | *49.9%* | *53.7%* | *48.0%* | *47.0%* | *39.6%* |
| **Alphabet Net Revenues** | **295,118.0** | **76,486.0** | **81,723.0** | **87,470.0** | **97,231.0** | **342,910.0** | **94,668.0** | **101,705.9** | **108,945.9** | **122,639.9** | **427,959.7** | **533,532.3** | **657,517.3** |
| *Y/Y growth* | *15.1%* | *13.2%* | *14.5%* | *17.3%* | *19.1%* | *16.2%* | *23.8%* | *24.5%* | *24.6%* | *26.1%* | *24.8%* | *24.7%* | *23.2%* |
| *Q/Q growth* | | *-6.3%* | *6.8%* | *7.0%* | *11.2%* | | *-2.6%* | *7.4%* | *7.1%* | *12.6%* | | | |
| Seasonality | | 22.3% | 23.8% | 25.5% | 28.4% | | 22.1% | 23.8% | 25.5% | 28.7% | | | |
| **Net Revenue Share by Segment** | | | | | | | | | | | | | |
| Google Properties as % of Alphabet Net Revenues | 67.8% | 66.4% | 66.6% | 65.0% | 65.0% | 65.7% | 62.8% | 61.4% | 58.9% | 58.2% | 60.2% | 54.0% | 48.6% |
| Google Network Members' Properties as % of Alphabet N | 3.2% | 3.1% | 2.7% | 2.8% | 2.6% | 2.8% | 2.7% | 2.5% | 2.4% | 2.2% | 2.4% | 1.9% | 1.5% |
| **Google Advertising as % of Alphabet Net Revenues** | **71.1%** | **69.5%** | **69.3%** | **67.8%** | **67.6%** | **68.5%** | **65.5%** | **63.9%** | **61.3%** | **60.5%** | **62.6%** | **55.9%** | **50.1%** |
| **Google Other & Other Bets as % of Alphabet Net Revenu** | **28.9%** | **30.5%** | **30.7%** | **32.2%** | **32.4%** | **31.5%** | **34.5%** | **36.1%** | **38.7%** | **39.5%** | **37.4%** | **44.1%** | **49.9%** |

| ($ millions except where noted) | 2024A | 3/25A | 6/25A | 9/25A | 12/25A | 2025A | 3/26A | 6/26E | 9/26E | 12/26E | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **MONETIZATION** | | | | | | | | | | | | | |
| **Google Search & Other** | | | | | | | | | | | | | |
| **Paid Clicks Change** | | | | | | | | | | | | | |
| *Y/Y growth* | 5% | 2% | 4% | 7% | 10% | 6% | 13% | | | | | | |
| *QTD Y/Y growth* | | 2% | 3% | 4% | 6% | | 13% | | | | | | |
| **Cost-per-Click Change** | | | | | | | | | | | | | |
| *Y/Y growth* | 7% | 7% | 8% | 7% | 6% | 7% | 5% | | | | | | |
| *QTD Y/Y growth* | | 7% | 8% | 7% | 7% | | 5% | | | | | | |

Source: J.P. Morgan estimates, Company data.



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## Figure 4: Alphabet Revenue Drivers (Cont'd)

| ($ millions except where noted) | 2024A | 3/25A | 6/25A | 9/25A | 12/25A | 2025A | 3/26A | 6/26E | 9/26E | 12/26E | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Geographic Breakdown** | | | | | | | | | | | | | |
| **Alphabet total revenues (gross)** | **350,018.0** | **90,234** | **96,428** | **102,346** | **113,828** | **402,836.0** | **109,896** | **117,416.3** | **125,031.5** | **140,365.7** | **492,709.5** | **604,471.1** | **735,124.8** |
| *Y/Y growth* | *13.9%* | *12%* | *14%* | *16%* | *18%* | *15.1%* | *22%* | *21.8%* | *22.2%* | *23.3%* | *22.3%* | *22.7%* | *21.6%* |
| ***Y/Y growth (ex-FX & Hedging)*** | ***14.8%*** | ***14%*** | ***13%*** | ***15%*** | ***17%*** | ***14.7%*** | ***19%*** | ***21.1%*** | ***22.3%*** | ***23.1%*** | ***21.5%*** | ***22.7%*** | ***21.6%*** |
| *Q/Q growth* | | *-6%* | *7%* | *6%* | *11%* | | *-3%* | *6.8%* | *6.5%* | *12.3%* | | | |
| **Geographic Breakdown** | | | | | | | | | | | | | |
| **United States** | **170,447.0** | **43,964** | **46,063** | **48,758** | **55,444** | **194,229.0** | **53,975** | **58,039.4** | **62,654.0** | **72,077.2** | **246,745.6** | **319,535.6** | **409,644.6** |
| ***Y/Y growth*** | ***16.5%*** | ***13%*** | ***12%*** | ***13%*** | ***17%*** | ***14.0%*** | ***23%*** | ***26.0%*** | ***28.5%*** | ***30.0%*** | ***27.0%*** | ***29.5%*** | ***28.2%*** |
| *Q/Q growth* | | *-7%* | *5%* | *6%* | *14%* | | *-3%* | *7.5%* | *8.0%* | *15.0%* | | | |
| U.S. revenues as % of Gross Revenues | 48.7% | 49% | 48% | 48% | 49% | 48.2% | 49% | 49.4% | 50.1% | 51.3% | 50.1% | 52.9% | 55.7% |
| **International** | **179,360.0** | **46,010** | **50,477** | **53,795** | **58,452** | **208,734.0** | **56,101** | **59,506.4** | **62,288.3** | **68,330.0** | **246,225.6** | **284,891.8** | **325,480.2** |
| *Y/Y growth* | *11.5%* | *10%* | *16%* | *19%* | *19%* | *16.4%* | *22%* | *17.9%* | *15.8%* | *16.9%* | *18.0%* | *15.7%* | *14.2%* |
| *FXHN Y/Y growth* | *13.3%* | *14%* | *15%* | *16%* | *16%* | *15.5%* | *15%* | *16.6%* | *16.6%* | *16.5%* | *16.3%* | *15.8%* | *14.2%* |
| *Q/Q growth* | | *-6%* | *10%* | *7%* | *9%* | | *-4%* | *6.1%* | *4.7%* | *9.7%* | | | |
| International revenues as % of Gross Revenues | 51.2% | 51% | 52% | 53% | 51% | 51.8% | 51% | 50.7% | 49.8% | 48.7% | 50.0% | 47.1% | 44.3% |
| **Hedging Gains (Losses)** | **211.0** | **260.0** | **(112.0)** | **(207.0)** | **(68.0)** | **(127.0)** | **(180.0)** | **(129.5)** | **89.2** | **(41.5)** | **(261.7)** | **43.8** | **0.0** |
| **Internation Breakdown (excl. Hedge post-1Q17 change)** | | | | | | | | | | | | | |
| **EMEA** | **102,127.0** | **25,923** | **28,262** | **29,911** | **33,056** | **117,152.0** | **31,468** | **32,738.6** | **33,717.5** | **37,478.8** | **135,402.9** | **151,407.2** | **168,819.0** |
| *Y/Y growth* | *12.2%* | *9%* | *14%* | *17%* | *17%* | *14.7%* | *21%* | *15.8%* | *12.7%* | *13.4%* | *15.6%* | *11.8%* | *11.5%* |
| ***FXHN Y/Y growth*** | ***12.1%*** | ***12%*** | ***11%*** | ***12%*** | ***12%*** | ***12.0%*** | ***12%*** | ***13.0%*** | ***13.0%*** | ***13.0%*** | ***12.7%*** | ***12.0%*** | ***11.5%*** |
| *Q/Q growth* | | *-8%* | *9%* | *6%* | *11%* | | *-5%* | *4.0%* | *3.0%* | *11.2%* | | | |
| EMEA as a % of Gross Revenues | 29.2% | 29% | 29% | 29% | 29% | 29.1% | 29% | 27.9% | 27.0% | 26.7% | 27.5% | 25.0% | 23.0% |
| **APAC** | **56,815.0** | **14,854** | **16,480** | **17,819** | **18,527** | **67,680.0** | **18,288** | **19,775.3** | **21,234.4** | **22,456.0** | **81,753.7** | **99,461.7** | **117,364.9** |
| *Y/Y growth* | *10.3%* | *12%* | *19%* | *22%* | *22%* | *19.1%* | *23%* | *20.0%* | *19.2%* | *21.2%* | *20.8%* | *21.7%* | *18.0%* |
| ***FXHN Y/Y growth*** | ***12.9%*** | ***15%*** | ***18%*** | ***22%*** | ***23%*** | ***19.7%*** | ***22%*** | ***23.0%*** | ***22.9%*** | ***22.7%*** | ***22.7%*** | ***22.0%*** | ***18.0%*** |
| *Q/Q growth* | | *-2%* | *11%* | *8%* | *4%* | | *-1%* | *8.1%* | *7.4%* | *5.8%* | | | |
| APAC as a % of Gross Revenues | 16.2% | 16% | 17% | 17% | 16% | 16.8% | 17% | 16.8% | 17.0% | 16.0% | 16.6% | 16.5% | 16.0% |
| **Other Americas (Canada and LatAm)** | **20,418.0** | **5,233** | **5,735** | **6,065** | **6,869** | **23,902.0** | **6,345** | **6,992.5** | **7,336.3** | **8,395.1** | **29,069.0** | **34,022.8** | **39,296.3** |
| *Y/Y growth* | *11.5%* | *12%* | *16%* | *19%* | *20%* | *17.1%* | *21%* | *21.9%* | *21.0%* | *22.2%* | *21.6%* | *17.0%* | *15.5%* |
| ***FXHN Y/Y growth*** | ***20.2%*** | ***23%*** | ***23%*** | ***20%*** | ***19%*** | ***21.1%*** | ***14%*** | ***16.0%*** | ***16.0%*** | ***17.0%*** | ***15.9%*** | ***16.0%*** | ***15.5%*** |
| *Q/Q growth* | | *-9%* | *10%* | *6%* | *13%* | | *-8%* | *10.2%* | *4.9%* | *14.4%* | | | |
| Other Americas as a % of Gross Revenues | 5.8% | 6% | 6% | 6% | 6% | 5.9% | 6% | 6.0% | 5.9% | 6.0% | 5.9% | 5.6% | 5.3% |
| **Foreign Exchange Impact on Gross Revenue** | | | | | | | | | | | | | |
| **Total Gross Revenue** | **350,018.0** | **90,234** | **96,428** | **102,346** | **113,828** | **402,836.0** | **109,896** | **117,416.3** | **125,031.5** | **140,365.7** | **492,709.5** | **604,471.1** | **735,124.8** |
| ***Y/Y growth*** | ***13.9%*** | ***12%*** | ***14%*** | ***16%*** | ***18%*** | ***15.1%*** | ***22%*** | ***21.8%*** | ***22.2%*** | ***23.3%*** | ***22.3%*** | ***22.7%*** | ***21.6%*** |
| ***Q/Q growth*** | | ***-6%*** | ***7%*** | ***6%*** | ***11%*** | | ***-3%*** | ***6.8%*** | ***6.5%*** | ***12.3%*** | | | |
| Y/Y Foreign Exchange Impact | (2,939.0) | (1,605) | 543 | 1,339 | 1,331 | 1,608.0 | 3,005 | 647.3 | (446.1) | 207.3 | 3,413.5 | (219.1) | - |
| | -7% | -16% | -21% | -15% | -5% | -8% | -6% | -20% | -20% | -20% | -8% | -20% | -20% |
| Cash Flow Hedging Impact | 211.0 | 260 | (112) | (207) | (68) | (127.0) | (180) | (129.5) | 89.2 | (41.5) | (261.7) | 43.8 | - |
| **FXHN Gross Revs. (based on year ago period)** | **352,746.0** | **91,579** | **95,997** | **101,214** | **112,565** | **401,355.0** | **107,071** | **116,898.4** | **125,388.4** | **140,199.8** | **489,557.7** | **604,690.2** | **735,124.8** |
| ***Y/Y growth (ex-FX & Hedging)*** | ***14.8%*** | ***14%*** | ***13%*** | ***15%*** | ***17%*** | ***14.7%*** | ***19%*** | ***21.1%*** | ***22.3%*** | ***23.1%*** | ***21.5%*** | ***22.7%*** | ***21.6%*** |
| BPS of Y/Y growth impacted by FX & Hedging | (97.6) | (177.2) | 37.2 | 126.0 | 128.5 | 35.4 | 278.8 | 67.8 | (10.1) | 21.9 | 82.1 | 2.1 | (0.9) |
| **FX & Hedging Neutral Gross Revs. (based on last quarter)** | | **90,995** | **94,919** | **101,635** | **114,153** | | **109,426** | **118,125.9** | **124,761.3** | **140,365.7** | | | |
| ***Q/Q growth (ex-FX & Hedging)*** | | ***-6%*** | ***5%*** | ***5%*** | ***12%*** | | ***-4%*** | ***7.3%*** | ***6.1%*** | ***12.3%*** | | | |
| BPS of Q/Q growth impacted by FX & Hedging | | (80.8) | 136.8 | 86.0 | (31.8) | | 47.0 | (47.0) | 34.7 | (8.0) | | | |

| $ millions except where noted | 2024A | 3/25A | 6/25A | 9/25A | 12/25A | 2025A | 3/26A | 6/26E | 9/26E | 12/26E | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Foreign Exchange Impact on EMEA Gross Revenue (excl. Hedging)** | | | | | | | | | | | | | |
| **Total Gross EMEA Revenue** | **102,127.0** | **25,923** | **28,262** | **29,911** | **33,056** | **117,152.0** | **31,468** | **32,738.6** | **33,717.5** | **37,478.8** | **135,402.9** | **151,407.2** | **168,819.0** |
| ***Y/Y growth*** | ***12.2%*** | ***9%*** | ***14%*** | ***17%*** | ***17%*** | ***14.7%*** | ***21%*** | ***15.8%*** | ***12.7%*** | ***13.4%*** | ***15.6%*** | ***11.8%*** | ***11.5%*** |
| ***Q/Q growth*** | | ***-8%*** | ***9%*** | ***6%*** | ***11%*** | | ***-5%*** | ***4.0%*** | ***3.0%*** | ***11.2%*** | | | |
| Y/Y Foreign Exchange Impact | 38.0 | (724) | 780 | 1,261 | 1,438 | 2,755.0 | 2,515 | 802.5 | (81.9) | 125.6 | 3,361.1 | (244.0) | - |
| **FXHN Gross Revs. (based on year ago period)** | **102,089** | **26,647** | **27,482** | **28,650** | **31,618** | **114,397.0** | **28,953** | **31,936.1** | **33,799.4** | **37,353.3** | **132,041.8** | **151,651.2** | **168,819.0** |
| ***Y/Y growth (excl. FX & Hedging)*** | ***12.1%*** | ***12%*** | ***11%*** | ***12%*** | ***12%*** | ***12.0%*** | ***12%*** | ***13.0%*** | ***13.0%*** | ***13.0%*** | ***12.7%*** | ***12.0%*** | ***11.5%*** |
| BPS of Y/Y growth impacted by FX & Hedging | 4.2 | (304.4) | 316.0 | 495.1 | 510.2 | 269.8 | 970.2 | 284.0 | (27.4) | 38.0 | 286.9 | (18.0) | (0.0) |
| *Y/Y growth in FX* | *0.0%* | *-2.7%* | *2.8%* | *4.4%* | *4.5%* | *2.4%* | *8.7%* | *2.5%* | *-0.2%* | *0.3%* | *2.5%* | *-0.2%* | *0.0%* |
| **Foreign Exchange Impact on APAC Gross Revenue (excl. Hedging)** | | | | | | | | | | | | | |
| **Total Gross APAC Revenue** | **56,815.0** | **14,854** | **16,480** | **17,819** | **18,527** | **67,680.0** | **18,288** | **19,775.3** | **21,234.4** | **22,456.0** | **81,753.7** | **99,461.7** | **117,364.9** |
| ***Y/Y growth*** | ***10.3%*** | ***12%*** | ***19%*** | ***22%*** | ***22%*** | ***19.1%*** | ***23%*** | ***20.0%*** | ***19.2%*** | ***21.2%*** | ***20.8%*** | ***21.7%*** | ***18.0%*** |
| ***Q/Q growth*** | | ***-2%*** | ***11%*** | ***8%*** | ***4%*** | | ***-1%*** | ***8.1%*** | ***7.4%*** | ***5.8%*** | | | |
| Y/Y Foreign Exchange Impact | (1,369.0) | (381) | 115 | 128 | (176) | (314.0) | 134 | (495.1) | (665.1) | (276.6) | (1,302.8) | (277.8) | - |
| **FXHN Gross Revs. (based on year ago period)** | **58,184** | **15,235** | **16,365** | **17,691** | **18,703** | **67,994.0** | **18,154** | **20,270.4** | **21,899.6** | **22,732.6** | **83,056.6** | **99,739.6** | **117,364.9** |
| ***Y/Y growth (excl. FX & Hedging)*** | ***12.9%*** | ***15%*** | ***18%*** | ***22%*** | ***23%*** | ***19.7%*** | ***22%*** | ***23.0%*** | ***22.9%*** | ***22.7%*** | ***22.7%*** | ***22.0%*** | ***18.0%*** |
| BPS of Y/Y growth impacted by FX & Hedging | (265.8) | (286.7) | 83.2 | 88.0 | (116.1) | (55.3) | 90.2 | (300.4) | (373.3) | | (192.5) | (34.0) | (0.0) |
| *Y/Y growth in FX* | *-2.4%* | *-2.5%* | *0.7%* | *0.7%* | *-0.9%* | *-0.5%* | *0.7%* | *-2.4%* | *-3.0%* | *-1.2%* | *-1.6%* | *-0.3%* | *0.0%* |
| **Foreign Exchange Impact on Other Americas Gross Revenue (excl. Hedging)** | | | | | | | | | | | | | |
| **Total Gross Other Americas Revenue** | **20,418.0** | **5,233.0** | **5,735.0** | **6,065.0** | **6,869.0** | **23,902.0** | **6,345.0** | **6,992.5** | **7,336.3** | **8,395.1** | **29,069.0** | **34,022.8** | **39,296.3** |
| ***Y/Y growth*** | ***11.5%*** | ***12%*** | ***16%*** | ***19%*** | ***20%*** | ***17.1%*** | ***21%*** | ***21.9%*** | ***21.0%*** | ***22.2%*** | ***21.6%*** | ***17.0%*** | ***15.5%*** |
| ***Q/Q growth*** | | ***-9%*** | ***10%*** | ***6%*** | ***13%*** | | ***-8%*** | ***10.2%*** | ***4.9%*** | ***14.4%*** | | | |
| Y/Y Foreign Exchange Impact | (1,608.0) | (500.0) | (352.0) | (50.0) | 69.0 | (833.0) | 356.0 | 339.9 | 300.9 | 358.4 | 1,355.3 | 302.8 | - |
| **FXHN Gross Revs. (based on year ago period)** | **22,026** | **5,733** | **6,087** | **6,115** | **6,800** | **24,735.0** | **5,989** | **6,652.6** | **7,035.4** | **8,036.7** | **27,713.7** | **33,720.0** | **39,296.3** |
| ***Y/Y growth (excl. FX & Hedging)*** | ***20.2%*** | ***23%*** | ***23%*** | ***20%*** | ***19%*** | ***21.1%*** | ***14%*** | ***16.0%*** | ***16.0%*** | ***17.0%*** | ***15.9%*** | ***16.0%*** | ***15.5%*** |
| BPS of Y/Y growth impacted by FX & Hedging | (877.7) | (1,074.6) | (712.8) | (98.2) | 120.3 | (408.0) | 680.3 | 592.7 | 496.2 | 521.8 | 567.0 | 104.2 | 0.0 |
| *Y/Y growth in FX* | *-7.3%* | *-8.7%* | *-5.8%* | | *1.0%* | *-3.4%* | *5.9%* | *5.1%* | *4.3%* | *4.5%* | *4.9%* | *0.9%* | *0.0%* |
| **Headcount** | | | | | | | | | | | | | |
| Ending Full-time Headcount (ex-Motorola) | 183,323 | 185,719 | 187,103 | 190,167 | 190,820 | 190,820 | 194,668 | 196,668 | 199,668 | 200,668 | 200,668 | 207,691 | 213,922 |
| *Y/Y growth* | *0.4%* | *2.7%* | *4.2%* | *4.9%* | *4.1%* | *4.1%* | *4.8%* | *5.1%* | *5.0%* | *5.2%* | *5.2%* | *3.5%* | *3.0%* |
| *Q/Q growth* | | *1.3%* | *0.7%* | *1.6%* | *0.3%* | | *2.0%* | *1.0%* | *1.5%* | *0.5%* | | | |
| Absolute Sequential Change in Headcount | 821 | 2,396 | 1,384 | 3,064 | 653 | 7,497 | 3,848 | 2,000 | 3,000 | 1,000 | 9,848 | 7,023 | 6,231 |

Source: J.P. Morgan estimates, Company data.

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## Figure 5: Alphabet Segment Reporting

| $ in millions, except per share amounts | 2024A | 3/25A | 6/25A | 9/25A | 12/25A | 2025A | 3/26A | 6/26E | 9/26E | 12/26E | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **ALPHABET SEGMENT SUMMARY** | | | | | | | | | | | | | |
| **Revenues:** | | | | | | | | | | | | | |
| Google Services | 304,930 | 77,264 | 82,543 | 87,052 | 95,862 | 342,721 | 89,637 | 93,793 | 97,699 | 107,657 | 388,787 | 432,577 | 477,147 |
| Google Cloud | 43,229 | 12,260 | 13,624 | 15,157 | 17,664 | 58,705 | 20,028 | 23,290 | 26,732 | 32,196 | 102,246 | 168,632 | 252,948 |
| Other Bets | 1,648 | 450 | 373 | 344 | 370 | 1,537 | 411 | 463 | 511 | 554 | 1,939 | 3,219 | 5,030 |
| Hedging gains (losses) | 211 | 260 | (112) | (207) | (68) | (127) | (180) | (129) | 89 | (41) | (262) | 44 | 0 |
| **Total Revenues** | **350,018** | **90,234** | **96,428** | **102,346** | **113,828** | **402,836** | **109,896** | **117,416** | **125,032** | **140,366** | **492,710** | **604,471** | **735,125** |
| Total Revenues ex-hedge | 349,807 | 89,974 | 96,540 | 102,553 | 113,896 | 402,963 | 110,076 | 117,546 | 124,942 | 140,407 | 492,971 | 604,427 | 735,125 |
| **GAAP Operating Income (Loss):** | | | | | | | | | | | | | |
| Google Services | 121,263 | 32,682 | 33,063 | 33,527 | 40,132 | 139,404 | 40,589 | 40,519 | 42,011 | 46,293 | 169,411 | 190,766 | 212,331 |
| Google Cloud | 6,112 | 2,177 | 2,826 | 3,594 | 5,313 | 13,910 | 6,598 | 6,987 | 8,153 | 10,947 | 32,685 | 59,864 | 93,591 |
| Other Bets | (4,444) | (1,226) | (1,246) | (1,426) | (3,617) | (7,515) | (2,100) | (1,592) | (1,690) | (1,804) | (7,186) | (6,809) | (6,158) |
| Corporate costs, unallocated | (10,541) | (3,027) | (3,372) | (4,467) | (5,894) | (16,760) | (5,391) | (5,537) | (5,658) | (7,483) | (24,069) | (29,875) | (36,756) |
| **Total Income from Operations** | **112,390** | **30,606** | **31,271** | **31,228** | **35,934** | **129,039** | **39,696** | **40,377** | **42,816** | **47,952** | **170,841** | **213,946** | **263,007** |
| **Margins:** | | | | | | | | | | | | | |
| Google Services | 39.8% | 42.3% | 40.1% | 38.5% | 41.9% | 40.7% | 45.3% | 43.2% | 43.0% | 43.0% | 43.6% | 44.1% | 44.5% |
| Google Cloud | 14.1% | 17.8% | 20.7% | 23.7% | 30.1% | 23.7% | 32.9% | 30.0% | 30.5% | 34.0% | 32.0% | 35.5% | 37.0% |
| Other Bets | -269.7% | -272.4% | -334.0% | -414.5% | -977.6% | -488.9% | -510.9% | -343.9% | -330.7% | -325.9% | -370.7% | -211.5% | -122.4% |
| Corporate costs, unallocated (% of total revenues) | -3.0% | -3.4% | -3.5% | -4.4% | -5.2% | -4.2% | -4.9% | -4.7% | -4.5% | -5.3% | -4.9% | -4.9% | -5.0% |
| **Total Income from Operations** | **32.1%** | **33.9%** | **32.4%** | **30.5%** | **31.6%** | **32.0%** | **36.1%** | **34.4%** | **34.2%** | **34.2%** | **34.7%** | **35.4%** | **35.8%** |
| **SEGMENT ANALYSIS** | | | | | | | | | | | | | |
| **GOOGLE SERVICES** | | | | | | | | | | | | | |
| Revenue | 304,930 | 77,264 | 82,543 | 87,052 | 95,862 | 342,721 | 89,637 | 93,793 | 97,699 | 107,657 | 388,787 | 432,577 | 477,147 |
| TAC | 54,900 | 13,748 | 14,705 | 14,876 | 16,597 | 59,926 | 15,228 | 15,710 | 16,086 | 17,726 | 64,750 | 70,939 | 77,607 |
| Net Revenue | 250,030 | 63,516 | 67,838 | 72,176 | 79,265 | 282,795 | 74,409 | 78,083 | 81,614 | 89,932 | 324,037 | 361,638 | 399,540 |
| GAAP Costs & Opex | 128,767 | 30,834 | 34,775 | 38,649 | 39,133 | 143,391 | 33,820 | 37,564 | 39,603 | 43,639 | 154,626 | 170,871 | 187,209 |
| GAAP Operating Income | 121,263 | 32,682 | 33,063 | 33,527 | 40,132 | 139,404 | 40,589 | 40,519 | 42,011 | 46,293 | 169,411 | 190,766 | 212,331 |
| OI&E | 3,493 | 1,465 | 1,459 | 2,199 | 881 | 6,004 | 801 | 608 | 1,149 | 1,224 | 3,781 | 5,004 | 3,665 |
| Income before taxes | 124,756 | 34,147 | 34,522 | 35,726 | 41,013 | 145,408 | 41,390 | 41,127 | 43,159 | 47,516 | 173,192 | 195,770 | 215,996 |
| Income Tax | 19,697 | 7,249 | 5,737 | 9,008 | 4,662 | 26,656 | 14,834 | 6,968 | 7,474 | 8,360 | 37,635 | 37,222 | 45,334 |
| GAAP Net Income | 105,059 | 26,898 | 28,785 | 26,718 | 36,351 | 118,752 | 26,556 | 34,159 | 35,685 | 39,156 | 135,557 | 158,549 | 170,661 |
| GAAP EPS | $8.44 | $2.19 | $2.36 | $2.19 | $2.97 | $9.71 | $2.17 | $2.77 | $2.87 | $3.13 | $10.95 | $12.51 | $13.35 |
| D&A | 10,490 | | | | | 13,709 | | | | | 18,662 | 26,474 | 36,836 |
| SBC | 16,161 | | | | | 17,205 | | | | | 19,439 | 21,413 | 23,523 |
| Adj. EBITDA | 147,914 | | | | | 170,317 | | | | | 207,512 | 238,653 | 272,690 |
| **Costs & Expenses As % of Revenue** | | | | | | | | | | | | | |
| TAC | 18.0% | 17.8% | 17.8% | 17.1% | 17.3% | 17.5% | 17.0% | 16.8% | 16.5% | 16.5% | 16.7% | 16.4% | 16.3% |
| GAAP Costs & Opex | 42.2% | 39.9% | 42.1% | 44.4% | 40.8% | 41.8% | 37.7% | 40.0% | 40.5% | 40.5% | 39.8% | 39.5% | 39.2% |
| D&A | 3.4% | | | | | 4.0% | | | | | 4.8% | 6.1% | 7.7% |
| SBC | 5.3% | | | | | 5.0% | | | | | 5.0% | 5.0% | 4.9% |
| **Margins** | | | excl. EC fine | **42.5%** | | **41.7%** | | | | | | | |
| **GAAP Operating Income** | **39.8%** | **42.3%** | **40.1%** | **38.5%** | **41.9%** | **40.7%** | **45.3%** | **43.2%** | **43.0%** | **43.0%** | **43.6%** | **44.1%** | **44.5%** |
| **GOOGLE CLOUD** | | | | | | | | | | | | | |
| Revenue | 43,229 | 12,260 | 13,624 | 15,157 | 17,664 | 58,705 | 20,028 | 23,290 | 26,732 | 32,196 | 102,246 | 168,632 | 252,948 |
| GAAP Costs & Opex | 37,117 | 10,083 | 10,798 | 11,563 | 12,351 | 44,795 | 13,430 | 16,303 | 18,579 | 21,250 | 69,561 | 108,768 | 159,357 |
| GAAP Operating Income | 6,112 | 2,177 | 2,826 | 3,594 | 5,313 | 13,910 | 6,598 | 6,987 | 8,153 | 10,947 | 32,685 | 59,864 | 93,591 |
| OI&E | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Income before taxes | 6,112 | 2,177 | 2,826 | 3,594 | 5,313 | 13,910 | 6,598 | 6,987 | 8,153 | 10,947 | 32,685 | 59,864 | 93,591 |
| Income Tax | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| GAAP Net Income | 6,112 | 2,177 | 2,826 | 3,594 | 5,313 | 13,910 | 6,598 | 6,987 | 8,153 | 10,947 | 32,685 | 59,864 | 93,591 |
| GAAP EPS | $0.49 | $0.18 | $0.23 | $0.29 | $0.43 | $1.14 | $0.54 | $0.57 | $0.66 | $0.87 | $2.64 | $4.72 | $7.32 |
| D&A | 4,409 | | | | | 6,927 | | | | | 15,848 | 32,040 | 55,649 |
| SBC | 5,879 | | | | | 6,927 | | | | | 9,816 | 12,900 | 16,315 |
| Adj. EBITDA | 16,401 | | | | | 27,764 | | | | | 58,349 | 104,805 | 165,554 |
| **Costs & Expenses As % of Revenue** | | | | | | | | | | | | | |
| GAAP Costs & Opex | 85.9% | 82.2% | 79.3% | 76.3% | 69.9% | 76.3% | 67.1% | 70.0% | 69.5% | 66.0% | 68.0% | 64.5% | 63.0% |
| D&A | 10% | | | | | 12% | | | | | 16% | 19% | 22% |
| SBC | 14% | | | | | 12% | | | | | 10% | 8% | 6% |
| **Margins** | | | | | | | | | | | | | |
| **GAAP Operating Income** | **14.1%** | **17.8%** | **20.7%** | **23.7%** | **30.1%** | **23.7%** | **32.9%** | **30.0%** | **30.5%** | **34.0%** | **32.0%** | **35.5%** | **37.0%** |
| **OTHER BETS** | | | | | | | | | | | | | |
| Revenue | 1,648 | 450 | 373 | 344 | 370 | 1,537 | 411 | 463 | 511 | 554 | 1,939 | 3,219 | 5,030 |
| GAAP Costs & Opex | 6,092 | 1,676 | 1,619 | 1,770 | 3,987 | 9,052 | 2,511 | 2,055 | 2,201 | 2,358 | 9,125 | 10,028 | 11,188 |
| Non-GAAP Costs & Opex | 4,935 | | | | | 7,731 | | | | | 7,655 | 8,419 | 9,377 |
| **GAAP Operating Income** | **(4,444)** | **(1,226)** | **(1,246)** | **(1,426)** | **(3,617)** | **(7,515)** | **(2,100)** | **(1,592)** | **(1,690)** | **(1,804)** | **(7,186)** | **(6,809)** | **(6,158)** |
| OI&E | 3,932 | 9,718 | 1,203 | 10,560 | 2,302 | 23,783 | 36,915 | 0 | 0 | 0 | 36,915 | 0 | 0 |
| Income before taxes | (512) | 8,492 | (43) | 9,134 | (1,315) | 16,268 | 34,815 | (1,592) | (1,690) | (1,804) | 29,729 | (6,809) | (6,158) |
| Income Tax | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| GAAP Net Income | (512) | 8,492 | (43) | 9,134 | (1,315) | 16,268 | 34,815 | (1,592) | (1,690) | (1,804) | 29,729 | (6,809) | (6,158) |
| GAAP EPS | ($0.04) | $0.69 | ($0.00) | $0.75 | ($0.11) | $1.33 | $2.84 | ($0.13) | ($0.14) | ($0.14) | $2.40 | ($0.54) | ($0.48) |
| D&A | 412 | | | | | 500 | | | | | 624 | 708 | 883 |
| SBC | 745 | | | | | 821 | | | | | 845 | 900 | 928 |
| Adj. EBITDA | (3,287) | | | | | (6,194) | | | | | (5,716) | (5,200) | (4,347) |
| **Costs & Expenses As % of Revenue** | | | | | | | | | | | | | |
| GAAP Costs & Opex | 370% | 372% | 434% | 515% | 1078% | 589% | 611% | 444% | 431% | 426% | 471% | 312% | 222% |
| **Margins** | | | | | | | | | | | | | |
| GAAP Operating Income | -269.7% | -272.4% | -334.0% | -414.5% | -977.6% | -488.9% | -510.9% | -343.9% | -330.7% | -325.9% | -370.7% | -211.5% | -122.4% |
| **RECONCILING ITEMS** | | | | | | | | | | | | | |
| Hedging gains (losses) | 211 | 260 | (112) | (207) | (68) | (127) | (180) | (129) | 89 | (41) | (262) | 44 | 0 |
| **Corporate costs, unallocated** | **8,965** | **3,287** | **3,260** | **3,653** | **5,826** | **16,026** | **5,211** | **5,407** | **5,747** | **7,442** | **23,807** | **29,919** | **36,756** |
| One-time items | 1,787 | 0 | 0 | 607 | 0 | 607 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| GAAP Operating Income | (10,541) | (3,027) | (3,372) | (4,467) | (5,894) | (16,760) | (5,391) | (5,537) | (5,658) | (7,483) | (24,069) | (29,875) | (36,756) |
| OI&E | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Income before taxes | (10,541) | (3,027) | (3,372) | (4,467) | (5,894) | (16,760) | (5,391) | (5,537) | (5,658) | (7,483) | (24,069) | (29,875) | (36,756) |
| Income Tax | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| GAAP Net Income | (10,541) | (3,027) | (3,372) | (4,467) | (5,894) | (16,760) | (5,391) | (5,537) | (5,658) | (7,483) | (24,069) | (29,875) | (36,756) |
| GAAP EPS | ($0.85) | ($0.25) | ($0.28) | ($0.37) | ($0.48) | ($1.37) | ($0.44) | ($0.45) | ($0.45) | ($0.60) | ($1.94) | ($2.36) | ($2.87) |
| **As % of Alphabet Total Revenue ex-hedge** | | | | | | | | | | | | | |
| Corporate costs, unallocated | 2.56% | 3.65% | 3.38% | 3.56% | 5.12% | 3.98% | 4.73% | 4.60% | 4.60% | 5.30% | 4.83% | 4.95% | 5.00% |

Source: J.P. Morgan estimates, Company data.



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# Investment Thesis, Valuation and Risks

## Alphabet *(Overweight; Price Target: $460.00)*

**Investment Thesis**
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is healthy runway across Search & YT ads as AI drives higher ROI. Non-Ad businesses, incl. Cloud & YouTube subscription services, have significant headroom & momentum, and companies within Other Bets, incl. Waymo, provide option value. We remain confident Google's AI full stack advantage & in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

**Valuation**
Our December 2026 PT of $460 is based on 32x our '27E GAAP EPS of $14.34, which ex-cash equates to 30x our '27E GAAP EPS ex-Other Bets of $14.88. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

**Risks to Rating and Price Target**
**Downside risks include: 1)** Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, including Cloud, Hardware, and Waymo, not materializing as expected.

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# Investment Thesis, Valuation and Risks

## Alphabet Inc. *(Overweight; Price Target: $460.00)*

**Investment Thesis**
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is a healthy runway across Search and YouTube ads as AI drives higher ROI & TV dollars shift online. Non-Ad businesses, incl. Cloud & Subscriptions, have significant headroom, and companies within Other Bets, notably Waymo, provide option value. We remain confident in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

**Valuation**
Our December 2026 PT of $460 is based on 32x our '27E GAAP EPS of $14.34, which ex-cash equates to 30x our '27E GAAP EPS ex-Other Bets of $14.88. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

**Risks to Rating and Price Target**
**Downside risks include: 1)** Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, incl. Cloud, Hardware, and Waymo, not materializing as expected.



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J.P.Morgan

# Alphabet: Summary of Financials

| Income Statement - Annual | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| **Revenue** | **402,836** | **492,710** | **604,471** | **735,125** |
| COGS | (162,535) | (192,233) | (239,002) | (297,876) |
| **Gross profit** | **240,301** | **300,477** | **365,470** | **437,249** |
| SG&A | (46,718) | (56,251) | (63,490) | (71,669) |
| **Adj. EBITDA** | **178,585** | **236,076** | **308,382** | **397,140** |
| D&A | (21,136) | (35,134) | (59,222) | (93,367) |
| **Adj. EBIT** | **157,449** | **200,941** | **249,160** | **303,773** |
| Net Interest | - | - | - | - |
| **Adj. PBT** | **187,236** | **241,638** | **254,163** | **307,438** |
| Tax | (26,656) | (37,635) | (37,222) | (45,334) |
| Minority Interest | - | - | - | - |
| **Adj. Net Income** | **134,971** | **171,408** | **213,749** | **257,966** |
| Reported EPS | 10.81 | 14.05 | 14.34 | 17.31 |
| **Adj. EPS** | **11.04** | **13.85** | **16.87** | **20.17** |
| **DPS** | **0.82** | **0.87** | **0.88** | **0.88** |
| Payout ratio | 7.6% | 6.2% | 6.1% | 5.1% |
| Shares outstanding | 12,230 | 12,378 | 12,671 | 12,788 |

| Income Statement - Quarterly | 1Q26A | 2Q26E | 3Q26E | 4Q26E |
|---|---|---|---|---|
| **Revenue** | **109,896A** | **117,416** | **125,032** | **140,366** |
| COGS | (41,271)A | (45,917) | (49,423) | (55,622) |
| **Gross profit** | **68,625A** | **71,499** | **75,608** | **84,744** |
| SG&A | (11,897)A | (13,730) | (13,945) | (16,679) |
| **Adj. EBITDA** | **52,929A** | **55,938** | **60,247** | **66,961** |
| D&A | (6,482)A | (8,136) | (9,478) | (11,038) |
| **Adj. EBIT** | **46,447A** | **47,802** | **50,769** | **55,924** |
| Net Interest | - | - | - | - |
| **Adj. PBT** | **84,163A** | **48,410** | **51,917** | **57,148** |
| Tax | (14,834)A | (6,968) | (7,474) | (8,360) |
| Minority Interest | - | - | - | - |
| **Adj. Net Income** | **38,663A** | **40,822** | **43,793** | **48,130** |
| Reported EPS | 5.11A | 2.76 | 2.93 | 3.26 |
| **Adj. EPS** | **3.16A** | **3.32** | **3.52** | **3.84** |
| **DPS** | **0.21A** | **0.22** | **0.22** | **0.22** |
| Payout ratio | 4.1%A | 8.0% | 7.5% | 6.7% |
| Shares outstanding | 12,238A | 12,313 | 12,442 | 12,518 |

| Balance Sheet & Cash Flow Statement | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Cash and cash equivalents | 30,708 | 103,398 | 132,624 | 125,703 |
| Accounts receivable | 62,886 | 77,876 | 97,087 | 119,649 |
| Inventories | 0 | 0 | 0 | 0 |
| Other current assets | 112,444 | 109,348 | 54,423 | 35,382 |
| **Current assets** | **206,038** | **290,622** | **284,134** | **280,735** |
| PP&E | 246,597 | 406,718 | 640,938 | 896,055 |
| LT investments | - | - | - | - |
| Other non current assets | 142,646 | 210,540 | 215,195 | 220,663 |
| **Total assets** | **595,281** | **907,880** | **1,140,267** | **1,397,453** |
| | | | | |
| Short term borrowings | 0 | 0 | 0 | 0 |
| Payables | 12,200 | 15,388 | 19,184 | 23,642 |
| Other short term liabilities | 90,545 | 107,523 | 134,047 | 165,198 |
| **Current liabilities** | **102,745** | **122,911** | **153,231** | **188,840** |
| Long-term debt | 46,547 | 95,315 | 94,315 | 91,673 |
| Other long term liabilities | 30,724 | 53,084 | 52,292 | 51,500 |
| **Total liabilities** | **180,016** | **271,310** | **299,838** | **332,013** |
| Shareholders' equity | 415,265 | 636,570 | 840,429 | 1,065,440 |
| Minority interests | - | - | - | - |
| **Total liabilities & equity** | **595,281** | **907,880** | **1,140,267** | **1,397,453** |
| **BVPS** | **33.95** | **51.43** | **66.32** | **83.32** |
| *y/y Growth* | *30.0%* | *51.5%* | *29.0%* | *25.6%* |
| Net debt/(cash) | 15,839 | (8,083) | (38,309) | (34,031) |
| | | | | |
| **Cash flow from operating activities** | **164,713** | **207,910** | **276,751** | **356,299** |
| o/w Depreciation & amortization | 21,136 | 35,134 | 59,222 | 93,367 |
| o/w Changes in working capital | 618 | (2,608) | 587 | 828 |
| **Cash flow from investing activities** | **(120,291)** | **(217,739)** | **(233,443)** | **(323,484)** |
| o/w Capital expenditure | (91,447) | (190,024) | (293,443) | (348,484) |
| *as % of sales* | *22.7%* | *38.6%* | *48.5%* | *47.4%* |
| **Cash flow from financing activities** | **(37,388)** | **82,642** | **(14,083)** | **(39,735)** |
| o/w Dividends paid | - | (10,742) | (11,151) | (11,253) |
| o/w Net debt issued/(repaid) | 32,138 | 47,716 | (1,000) | (2,642) |
| **Net change in cash** | **7,242** | **72,690** | **29,226** | **(6,920)** |
| **Adj. Free cash flow to firm** | **73,266** | **17,886** | **(16,691)** | **7,815** |
| *y/y Growth* | *0.7%* | *(75.6%)* | *(193.3%)* | *(146.8%)* |

| Ratio Analysis | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin | 59.7% | 61.0% | 60.5% | 59.5% |
| EBITDA margin | 44.3% | 47.9% | 51.0% | 54.0% |
| EBIT margin | 39.1% | 40.8% | 41.2% | 41.3% |
| Net profit margin | 33.5% | 34.8% | 35.4% | 35.1% |
| | | | | |
| ROE | 36.5% | 32.6% | 28.9% | 27.1% |
| ROA | 25.8% | 22.8% | 20.9% | 20.3% |
| ROCE | 33.9% | 28.4% | 25.5% | 24.8% |
| SG&A/Sales | 11.6% | 11.4% | 10.5% | 9.7% |
| Net debt/equity | 0.0 | NM | NM | NM |
| | | | | |
| P/E (x) | 31.8 | 25.3 | 20.8 | 17.4 |
| P/BV (x) | 10.3 | 6.8 | 5.3 | 4.2 |
| EV/EBITDA (x) | 24.1 | 18.1 | 13.8 | 10.7 |
| Dividend Yield | 0.2% | 0.2% | 0.3% | 0.3% |
| | | | | |
| Sales/Assets (x) | 0.8 | 0.7 | 0.6 | 0.6 |
| Interest cover (x) | - | - | - | - |
| Operating leverage | 109.2% | 123.8% | 105.8% | 101.4% |
| | | | | |
| Revenue y/y Growth | 15.1% | 22.3% | 22.7% | 21.6% |
| EBITDA y/y Growth | 18.7% | 32.2% | 30.6% | 28.8% |
| Tax rate | 14.2% | 15.6% | 14.6% | 14.7% |
| Adj. Net Income y/y Growth | 15.6% | 27.0% | 24.7% | 20.7% |
| EPS y/y Growth | 17.7% | 25.5% | 21.8% | 19.6% |
| DPS y/y Growth | 38.9% | 5.6% | 1.4% | 0.0% |

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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# Alphabet Inc.: Summary of Financials

| Income Statement - Annual | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| **Revenue** | **402,836** | **492,710** | **604,471** | **735,125** |
| COGS | (162,535) | (192,233) | (239,002) | (297,876) |
| **Gross profit** | **240,301** | **300,477** | **365,470** | **437,249** |
| SG&A | (46,718) | (56,251) | (63,490) | (71,669) |
| **Adj. EBITDA** | **178,585** | **236,076** | **308,382** | **397,140** |
| D&A | (21,136) | (35,134) | (59,222) | (93,367) |
| **Adj. EBIT** | **157,449** | **200,941** | **249,160** | **303,773** |
| Net Interest | - | - | - | - |
| **Adj. PBT** | **187,236** | **241,638** | **254,163** | **307,438** |
| Tax | (26,656) | (37,635) | (37,222) | (45,334) |
| Minority Interest | - | - | - | - |
| **Adj. Net Income** | **134,971** | **171,408** | **213,749** | **257,966** |
| Reported EPS | 10.81 | 14.05 | 14.34 | 17.31 |
| **Adj. EPS** | **11.04** | **13.85** | **16.87** | **20.17** |
| **DPS** | **0.82** | **0.87** | **0.88** | **0.88** |
| Payout ratio | 7.6% | 6.2% | 6.1% | 5.1% |
| Shares outstanding | 12,230 | 12,378 | 12,671 | 12,788 |

| Income Statement - Quarterly | 1Q26A | 2Q26E | 3Q26E | 4Q26E |
|---|---|---|---|---|
| **Revenue** | **109,896A** | **117,416** | **125,032** | **140,366** |
| COGS | (41,271)A | (45,917) | (49,423) | (55,622) |
| **Gross profit** | **68,625A** | **71,499** | **75,608** | **84,744** |
| SG&A | (11,897)A | (13,730) | (13,945) | (16,679) |
| **Adj. EBITDA** | **52,929A** | **55,938** | **60,247** | **66,961** |
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| Reported EPS | 5.11A | 2.76 | 2.93 | 3.26 |
| **Adj. EPS** | **3.16A** | **3.32** | **3.52** | **3.84** |
| **DPS** | **0.21A** | **0.22** | **0.22** | **0.22** |
| Payout ratio | 4.1%A | 8.0% | 7.5% | 6.7% |
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| Accounts receivable | 62,886 | 77,876 | 97,087 | 119,649 |
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| Other current assets | 112,444 | 109,348 | 54,423 | 35,382 |
| **Current assets** | **206,038** | **290,622** | **284,134** | **280,735** |
| PP&E | 246,597 | 406,718 | 640,938 | 896,055 |
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| **Total assets** | **595,281** | **907,880** | **1,140,267** | **1,397,453** |
| | | | | |
| Short term borrowings | 0 | 0 | 0 | 0 |
| Payables | 12,200 | 15,388 | 19,184 | 23,642 |
| Other short term liabilities | 90,545 | 107,523 | 134,047 | 165,198 |
| **Current liabilities** | **102,745** | **122,911** | **153,231** | **188,840** |
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| **Total liabilities** | **180,016** | **271,310** | **299,838** | **332,013** |
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| *y/y Growth* | *30.0%* | *51.5%* | *29.0%* | *25.6%* |
| Net debt/(cash) | 15,839 | (8,083) | (38,309) | (34,031) |
| | | | | |
| **Cash flow from operating activities** | **164,713** | **207,910** | **276,751** | **356,299** |
| o/w Depreciation & amortization | 21,136 | 35,134 | 59,222 | 93,367 |
| o/w Changes in working capital | 618 | (2,608) | 587 | 828 |
| **Cash flow from investing activities** | **(120,291)** | **(217,739)** | **(233,443)** | **(323,484)** |
| o/w Capital expenditure | (91,447) | (190,024) | (293,443) | (348,484) |
| *as % of sales* | *22.7%* | *38.6%* | *48.5%* | *47.4%* |
| **Cash flow from financing activities** | **(37,388)** | **82,642** | **(14,083)** | **(39,735)** |
| o/w Dividends paid | (10,050) | (10,742) | (11,151) | (11,253) |
| o/w Net debt issued/(repaid) | 32,138 | 47,716 | (1,000) | (2,642) |
| **Net change in cash** | **7,242** | **72,690** | **29,226** | **(6,920)** |
| **Adj. Free cash flow to firm** | **73,266** | **17,886** | **(16,691)** | **7,815** |
| *y/y Growth* | *0.7%* | *(75.6%)* | *(193.3%)* | *(146.8%)* |

| Ratio Analysis | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| Gross margin | 59.7% | 61.0% | 60.5% | 59.5% |
| EBITDA margin | 44.3% | 47.9% | 51.0% | 54.0% |
| EBIT margin | 39.1% | 40.8% | 41.2% | 41.3% |
| Net profit margin | 33.5% | 34.8% | 35.4% | 35.1% |
| | | | | |
| ROE | 36.5% | 32.6% | 28.9% | 27.1% |
| ROA | 25.8% | 22.8% | 20.9% | 20.3% |
| ROCE | 33.9% | 28.4% | 25.5% | 24.8% |
| SG&A/Sales | 11.6% | 11.4% | 10.5% | 9.7% |
| Net debt/equity | 0.0 | NM | NM | NM |
| | | | | |
| P/E (x) | 31.9 | 25.5 | 20.9 | 17.5 |
| P/BV (x) | 10.4 | 6.9 | 5.3 | 4.2 |
| EV/EBITDA (x) | 24.2 | 18.2 | 13.9 | 10.8 |
| Dividend Yield | 0.2% | 0.2% | 0.2% | 0.2% |
| | | | | |
| Sales/Assets (x) | 0.8 | 0.7 | 0.6 | 0.6 |
| Interest cover (x) | - | - | - | - |
| Operating leverage | 109.2% | 123.8% | 105.8% | 101.4% |
| | | | | |
| Revenue y/y Growth | 15.1% | 22.3% | 22.7% | 21.6% |
| EBITDA y/y Growth | 18.7% | 32.2% | 30.6% | 28.8% |
| Tax rate | 14.2% | 15.6% | 14.6% | 14.7% |
| Adj. Net Income y/y Growth | 15.6% | 27.0% | 24.7% | 20.7% |
| EPS y/y Growth | 17.7% | 25.5% | 21.8% | 19.6% |
| DPS y/y Growth | 38.9% | 5.6% | 1.4% | 0.0% |

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet (GOOG, GOOG US) Price Chart




Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 28, 2004. All share prices are as of market close on the previous business day.

| Date | Rating | Price ($) | Price Target ($) |
|---|---|---|---|
| 26-Jul-23 | OW | 122.79 | 150 |
| 13-Dec-23 | OW | 133.64 | 160 |
| 31-Jan-24 | OW | 153.05 | 165 |
| 26-Apr-24 | OW | 157.95 | 200 |
| 24-Jul-24 | OW | 183.60 | 208 |
| 30-Oct-24 | OW | 171.14 | 212 |
| 18-Dec-24 | OW | 197.12 | 232 |
| 05-Feb-25 | OW | 207.71 | 220 |
| 08-Apr-25 | OW | 149.24 | 180 |
| 25-Apr-25 | OW | 161.47 | 195 |
| 11-Jul-25 | OW | 178.70 | 200 |
| 24-Jul-25 | OW | 191.51 | 232 |
| 03-Sep-25 | OW | 211.99 | 260 |
| 27-Oct-25 | OW | 260.51 | 300 |
| 30-Oct-25 | OW | 275.17 | 340 |
| 12-Dec-25 | OW | 313.70 | 385 |
| 05-Feb-26 | OW | 333.34 | 395 |
| 30-Apr-26 | OW | 347.31 | 460 |

Alphabet Inc. (GOOGL, GOOGL US) Price Chart




Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2015. All share prices are as of market close on the previous business day.

| Date | Rating | Price ($) | Price Target ($) |
|---|---|---|---|
| 26-Jul-23 | OW | 122.21 | 150 |
| 13-Dec-23 | OW | 132.52 | 160 |
| 31-Jan-24 | OW | 151.46 | 165 |
| 26-Apr-24 | OW | 156.00 | 200 |
| 24-Jul-24 | OW | 181.79 | 208 |
| 30-Oct-24 | OW | 169.68 | 212 |
| 18-Dec-24 | OW | 195.42 | 232 |
| 05-Feb-25 | OW | 206.38 | 220 |
| 08-Apr-25 | OW | 146.75 | 180 |
| 25-Apr-25 | OW | 159.28 | 195 |
| 11-Jul-25 | OW | 177.62 | 200 |
| 24-Jul-25 | OW | 190.23 | 232 |
| 03-Sep-25 | OW | 211.35 | 260 |
| 27-Oct-25 | OW | 259.92 | 300 |
| 30-Oct-25 | OW | 274.57 | 340 |
| 12-Dec-25 | OW | 312.43 | 385 |
| 05-Feb-26 | OW | 333.04 | 395 |
| 30-Apr-26 | OW | 349.94 | 460 |

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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|---|---|---|---|
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